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OUTLOOK AND CHALLENGES FOR LOCAL CURRENCY TRANSACTIONS: AN ANALYSIS OF THE TREND TOWARD DEDOLLARIZATION, CENTERED ON ASIA

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Abstract

Since the late 2010s, rising geopolitical tensions—particularly between the United States and the People's Republic of China (PRC)—have begun to affect currency choices in trade and investment across Asia. Although the US dollar remains the dominant international currency, emerging economies are increasingly promoting local currency-denominated transactions. The PRC has advanced the internationalization of the renminbi (RMB); at the same time, its global payment share remains limited in SWIFT statistics, and RMB usage has expanded through alternative infrastructures such as the Cross-Border Interbank Payment System (CIPS). In Southeast Asia, Thailand has experienced a notable increase in local currency transactions following regulatory easing. This paper argues that the sustainable expansion of local currency trade invoicing requires well-developed foreign exchange markets and credible bilateral and multilateral policy frameworks. However, excessive currency and capital controls may hinder long-term progress. The analysis highlights both the potential and the constraints of ongoing efforts to diversify settlement currencies beyond the US dollar.

Keywords: Dominant Currency Paradigm, internationalization of the RMB, settlement currency, cross-border transactions, direct exchange market

JEL Classification: F23, F31, F33

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1. INTRODUCTION

Since the late 2010s, the PRC and some Southeast Asian economies have set the promotion of trade and investment as their goal, implementing policies to encourage transactions invoiced in their respective (local) currencies and settlements using local currencies rather than the US dollar. Against the backdrop of rising geopolitical risks stemming from political and security issues between the United States (US) and the PRC, changes in trade and investment flows are evident, including increasing trade dependence between the PRC and ASEAN economies. On the other hand, the US dollar remains dominant in trade transactions within Asian supply chains, particularly those involving Japanese companies (Ito et al. 2018; Shimizu et al 2021). In contrast to the Dominant Currency Paradigm (DCP), where the US dollar continues to hold a dominant position in global trade, a phenomenon that could be described as “dedollarization” (also written “de-dollarization”) is progressing gradually. However, its pace has tended to accelerate or slow down in response to President Trump’s tariff policies since 2024, and to new developments in geopolitical risk.

These policies aimed at promoting transactions invoiced in national currencies, centered on emerging economies, are not limited to individual economies’ initiatives but are being proposed and implemented under various bilateral and multilateral frameworks (such as BRICS and the Shanghai Cooperation Organization). The expansion of RMB use in the PRC (its internationalization) is one such example. Although the PRC government has been promoting the internationalization of the RMB since 2009, the share of the RMB used in the private and public sectors as a unit of account, a medium of exchange, and a store of value remains limited. According to figures from SWIFT’s RMB Tracker (February 2026), the RMB’s share of international payments stands at 2.74%, making it difficult to characterize it as a true international settlement currency at this stage.

On the other hand, SWIFT’s statistics are limited to transactions conducted through the SWIFT network; therefore, it is impossible to assess the internationalization of the RMB without verifying the extent to which its use has increased through the Cross-Border Interbank Payment System (CIPS), an RMB international settlement system established under the leadership of the People’s Bank of China. While the RMB cannot be considered a fully convertible currency, as various regulations regarding currency and foreign exchange transactions remain in place, its share in trade and other transactions has increased rapidly since the 2010s. In terms of the pathways of this expansion, within trade, usage initially focused on RMB-invoiced imports of goods, then expanded to RMB-invoiced exports of goods, and later increased in capital transactions, including trade in services, RMB-denominated direct investment, and securities investment. Geographically, while RMB-invoiced transactions were initially concentrated between the PRC and Hong Kong, China, the proportion of RMB-invoiced trade with regions such as Southeast Asia and Europe has been gradually increasing. This trend is supported by statistical data from trading partners, which have gradually been made public in recent years. Specifically, there has been greater growth in cases where economies such as Thailand, Indonesia, and Australia import in RMB (i.e., pay in RMB) rather than export to the PRC in RMB. Furthermore, in recent years, data suggest that RMB-invoiced transactions are taking place not only in trade and other transactions between the PRC and specific bilateral partners but also in trade among third economies (for example, between Brazil and the Russian Federation).

Even if an economy actively promotes domestic currency-invoiced transactions as a matter of policy, the results of this trend—such as an increase in such transactions—are not necessarily uniform across economies with differing economic scales and levels of economic openness. For example, Thailand, Malaysia, and Indonesia – three geographically close economies—are implementing the Local Currency Settlement Framework to increase local currency-invoiced transactions and settlement in trade and investment. However, as of now, progress shows that the share of the Thai baht has risen significantly across the three economies. At the same time, it is difficult to say whether transaction volumes in the Malaysian ringgit and Indonesian rupiah are increasing steadily. This situation is thought to stem from the fact that, among these three economies, Thailand has made relatively greater progress in relaxing currency and foreign exchange regulations, in contrast to Malaysia and Indonesia, which have actually tightened various regulations on nonresidents' use and holding of currency, as well as foreign exchange transactions, since the latter half of the 2010s. The differences in the values and composition of each economy's foreign investment positions reflect these differences in capital flows, including capital transactions. They may serve as a useful hint for increasing the number of transactions invoiced in local currencies.

The growth in the value of local currency-invoiced transactions (in the home or partner economy) in these nations is believed to stem in part from usage driven by actual demand. Specifically, as reported by the Bank of Thailand, when exports are carried out, the exporting economy receives the partner economy's currency, and it has become clear that a portion of this is held in the partner economy's currency (foreign currency) and used to make future external payments. Furthermore, when making payments to overseas counterparties, foreign currency borrowing from financial institutions may also be used, in addition to the aforementioned foreign currency holdings. Between the PRC and some Southeast Asian economies, efforts are underway to establish and foster "direct exchange markets" where exchange and settlement are conducted using local currency pairs, without involving the US dollar, to underpin local currency-denominated trade and investment transactions. From the perspective of increasing local currency-denominated transactions, the formation of foreign exchange markets—in either the home or partner economy—where multiple currencies, including emerging-market currencies, can be traded is considered necessary (Tomizawa 2023). Furthermore, the existence of such exchange markets creates the possibility of local currency transactions and settlements even between emerging economies (and their currencies) where capital controls remain in place.

While past research has shown that the increase in local currency-invoiced transactions is influenced by factors such as an economy's growing trade share and the reduction of transaction costs for that economy's currency due to deregulation, this paper clarifies that the use of the RMB expands when the government, like that of the PRC, takes the lead in promoting RMB-invoiced transactions through policy measures—namely, the existence of bilateral or multilateral political memorandums of understanding (MOUs) or initiatives, swap arrangements, and clearing and settlement systems, as well as the expansion of local subsidiary/branch networks by the PRC's five major banks, and that there is a new dimension to the expansion of RMB usage: the PRC taking a leadership role in trade among emerging economies where foreign exchange regulations remain in place.

The remainder of this paper is organized as follows. Section 2 reviews the literature on currency choice in international trade, with a particular emphasis on the Dominant Currency Paradigm and recent debates on nondollar currency usage in emerging economies. Section 3 conducts an extensive analysis based on economy-level trade

and settlement data, covering the PRC, major ASEAN economies, and selected advanced and emerging economies. Section 4 summarizes the current situation, discusses the reasons that regional and multilateral initiatives promote local currency-invoiced transactions, focusing on Asia and the Global South, examines the role of policy coordination and financial infrastructure, and concludes by summarizing the main findings and drawing policy implications for currency diversification.

2. THE DOMINANT CURRENCY PARADIGM AND DEBATES ON CURRENCY CHOICE IN PREVIOUS RESEARCH

Gopinath et al. (2016) and Casas et al. (2017) have pointed out that the Dominant Currency Paradigm (DCP) is a new framework that replaces the traditional approaches to currency selection in international trade, namely Producer Currency Pricing (PCP) and Local Currency Pricing (LCP). This paradigm posits that while there are 180 currencies in the world, only a very small number are used in trade, finance, and reserves; many economies set their import and export prices in US dollars, and the US dollar plays an overwhelming role in international trade. It is particularly well suited to providing a more realistic explanation of the relationship between trade and exchange rates in small open economies. Gopinath et al. constructed a dataset of prices and volumes for over 2,500 bilateral trade relationships covering 91% of world trade using economy-specific six-digit HS commodity data from UN Comtrade and invoice currency shares from Gopinath (2015). Using Colombian firm-level data, they confirmed that the US dollar is used as the dominant currency and plays a crucial role in pricing and trade responses.

Georgiadis et al. (2021, ECB) acknowledged that the fact that approximately 40% of global trade is invoiced in dollars—a share that far exceeds the US’s 10% share of global trade—is indicative of DCP. However, they pointed out that this is due to strategic complementarity (the incentive to price in the same currency as competitors) and integration into global value chains (GVCs), which reinforce the use of the dollar, concluding that the dollar holds a dominant position as a “reserve currency” even in transactions with third economies. With regard to the euro, they noted that while it is frequently used in intra-European and Europe–third-economy transactions, its role as a vehicle currency in third-economy transactions is weaker than that of the dollar, and that policy support from European authorities is limited. In contrast, they demonstrated that the PRC government authorities are promoting various policies to internationalize the RMB, which is having a positive impact on its use.

Perez-Saiz, Zhang, and Iyer (2023) conducted a broader examination of the DCP, using SWIFT data to analyze patterns of currency use in cross-border payments within the International Monetary System (IMS) and the factors driving them¹. Their findings confirm that, as in the previous studies, cross-border payments are primarily concentrated in the US dollar and the euro. While the share of the RMB has expanded in recent years, its usage rate remains low due to strong inertia in currency usage, driven by network effects and switching costs. The study identified the currency’s legal-tender status, as well as geographical and political distance, as the main factors

¹ Using currency shares in bilateral cross-border transactions reported via SWIFT’s MT 103 and MT 202 as the dependent variables, they conducted an empirical analysis using indicators representing lag (inertia), export and import shares, and the level of financial market development as independent variables.

influencing currency choice; however, these factors proved relatively unimportant. On the other hand, the results indicated that trade and financial linkages are more important for emerging currencies than for existing major currencies. The study also points out that recent rapid changes in geopolitical risks may accelerate the multipolarization of the current international monetary system.

Furthermore, Perez-Saiz and Zhang (2023) analyzed international usage of the RMB, noting that while its use as an international settlement currency is still in its early stages—accounting for only 2% of global cross-border transactions—its usage varies significantly by region, with its adoption expanding in Asia and certain emerging market economies (such as Mongolia, the Lao PDR, and Argentina). They utilize SWIFT data, and in addition to the standard MT103 and MT202 messages, they include MT700 and MT400. Furthermore, by incorporating swap lines and the establishment of offshore settlement banks—as explanatory variables promoted as part of the RMB’s internationalization—they confirmed that these policies contribute to the expansion of RMB usage. Geographical and political distance, which had little impact in the previous empirical analysis, are also shown to be important factors influencing the use of RMB, with its usage in the Asian region being particularly pronounced. In conclusion, while the internationalization of the RMB is still in its early stages, its role as a regional currency is expanding, and it may play a more significant role in the international monetary system in the future.

Research focusing on Asia is also progressing. In their study on the Asia and the Pacific region, Mercado, Jr., Jacildo, and Basu Das (2022) analyzed the reasons that the US dollar dominates as the invoicing currency for international trade in the region, demonstrating that participation in global value chains (GVCs) and the presence of multinational corporations (MNCs) have a significant influence on the use of the US dollar. They point out that key factors in the Asia and the Pacific region include the absence of a strong regional currency and limited regional trade integration. In particular, they note that the numerous GVCs and MNCs in the region engage in both import and export transactions; imports of intermediate goods, such as raw materials, are invoiced in dollars; and since the United States is the primary destination for exports of finished products, it has become customary to conduct all transactions in US dollars. A comparison between the Asia and Pacific region and other regions, including Europe, suggests that in Europe, the euro is widely used as the invoice currency, indicating that the existence of a regional currency significantly influences the choice of invoice currency. Therefore, to reduce the dependence of the Asia and Pacific region on the US dollar, it is essential to develop financial infrastructure—including cultivating foreign exchange hedging markets that promote the use of regional currencies—and to advance intraregional financial cooperation to facilitate trade settlements in regional currencies.

An analysis of invoice currency selection using customs data from individual economies can be found in Shimizu et al. (2022). As regards the currency selection for invoices by Japanese firms, studies such as Shimizu et al. (2021) and Ito et al. (2018) have shown that, despite being a developed economy, Japan relies heavily on the US dollar rather than the yen in trade with emerging Asian nations. This has been attributed to foreign exchange risk management considerations: As supply chains with overseas subsidiaries expand, companies standardize intragroup trade in US dollars to allow the headquarters finance department to manage foreign exchange risk centrally. This indicates that GVC factors are at play. However, when Shimizu et al. (2022) analyzed invoice currency shares by trading partner using individual-level data from the Ministry of Finance’s customs records, they confirmed that, particularly in exports to Asia in recent years, the share of US dollar-invoiced transactions has decreased, while

the shares of yen-invoiced and partner currency-invoiced transactions have increased. For example, regarding the Thai baht, while previous data disclosures showed a share of only around 1% for exports to Asia, 2020 data indicate that it accounts for 15.5% of exports to Thailand by value and 17.1% by number of transactions. Compared to 2014 data, the share of transactions invoiced in the partner economy's currency has more than doubled for exports to the PRC (10.4%), the Republic of Korea (6.0%), and India (9.6%). In all these economies except India, the share of dollar-invoiced exports has decreased. The currency choices observed in these bilateral transactions indicate a growing trend toward using local currencies, which does not necessarily align with the DCP identified by the IMF.

While the DCP has taken hold, the use of emerging-market currencies, led by the RMB, is expanding across a wide range of economies, albeit with a low market share. Emerging economies, having witnessed the intensification of the US–PRC trade war and financial sanctions during the Russian invasion of Ukraine, are also pursuing policy initiatives to break away from excessive dependence on the US dollar amid the recent rise in geopolitical risks and to promote the use of their own currencies, at least in intraregional trade. Whether such promotional measures are effective will require further analysis based on a close examination of data from each economy.

3. CURRENT STATUS AND ANALYSIS OF LOCAL CURRENCY TRANSACTIONS AND SETTLEMENTS IN VARIOUS ECONOMIES

Emerging economies, led by the PRC, have been on high alert about excessive fluctuations in exchange rates against the US dollar and their impact on domestic economies and capital flows. Coupled with the implementation of policies aimed at increasing trade and capital transactions invoiced in local currencies, shifts in the share of local currency denomination and settlement in trade with other countries are becoming apparent in some cases.

In this section, we analyze changes in the use of local currencies for trade pricing and settlement across countries, based on published data. Referring to the Chinese RMB (3.1), the Thai baht (3.2), the Indonesian rupiah (3.3), the Malaysian ringgit (3.4), the Australian dollar (3.5), the NT dollar (3.6), the euro and other EU currencies (3.7), the British pound (3.8), and the Brazilian real (3.9), we will clarify how trade (and investment) denominations and settlements have changed and how the use of domestic currencies has progressed in each region.

3.1 Chinese Yuan (RMB)

In the PRC, since 2009, the People's Bank of China has designated pilot enterprises in certain cities such as Shanghai and in parts of Guangdong Province and began testing RMB-invoiced trade transactions with Hong Kong, China and ASEAN economies, gradually expanding the scope to cover the entire economy and extending to partner economies and regions worldwide. A key feature of the RMB's internationalization process is that it began with the use of the RMB in such trade transactions; however, initially, it was also intended to help Chinese exporters avoid fluctuations in the RMB exchange rate following the Lehman Shock (Sekine 2010). Furthermore, early government documents suggest that the process of RMB internationalization should proceed in the order of “peripheralization” (use in border trade, etc.), “regionalization”

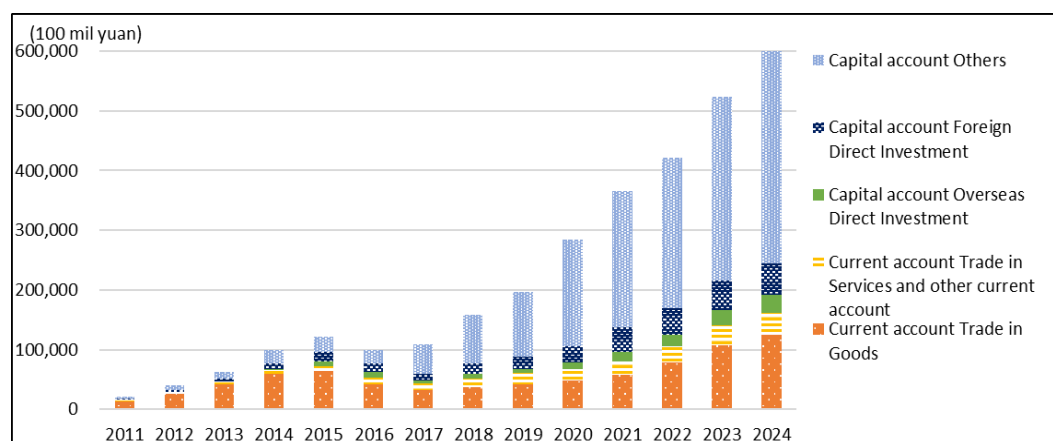
(use in trade and investment with neighboring economies), and “globalization” (Ba 2012).

Looking back at the PRC’s economic and financial environment at the time, following its accession to the WTO, the 2000s saw massive inflows of foreign currency as hot money, driven particularly by trade surpluses and the expectation of a rising yuan. The government frequently intervened in the foreign exchange market but was unable to sufficiently sterilize (recoup) the RMB released into the market. Amid a period when excess liquidity in financial markets flowed into the stock market and real estate transactions, the economy exhibited signs of a bubble. With capital controls and foreign exchange management regarding the RMB still in place, a major challenge was how to promote the liberalization of the capital account in a manageable and orderly manner while ensuring stable economic growth.

To support “RMB-invoiced trade transactions” launched under this macroeconomic environment, the People’s Bank of China (PBOC) not only concluded bilateral local currency swap agreements with central banks of various economies to supply RMB liquidity but also designated RMB clearing banks in each economy. Many of these currency swap agreements were designed to promote trade and investment, and the number of counterparties and the scale of transactions have expanded in line with the growth of RMB settlements with partner economies and the development of offshore RMB markets. Furthermore, in 2011, RMB-denominated inward and outward foreign direct investment and the RMB Qualified Foreign Institutional Investor (RQFII) program were launched, thereby broadening the scope for the use of the RMB in capital account transactions and settlements. In 2015, the Cross-border Interbank Payment System (CIPS) was established as a financial infrastructure to facilitate RMB settlements. The China Foreign Exchange Trade System (CFETS) worked to expand the direct exchange (trading) market between the RMB and currencies other than the US dollar (without the use of the US dollar as an intermediary).

The proportion of transactions settled in RMB in the PRC’s external trade is reflected in statistics released by the State Administration of Foreign Exchange (SAFE) (covering receipts and payments from external transactions conducted by banks on behalf of their customers). From the inception of these initiatives until around 2015, the volume of RMB usage grew primarily through receipts and payments in trade (goods) transactions (Figure 1).

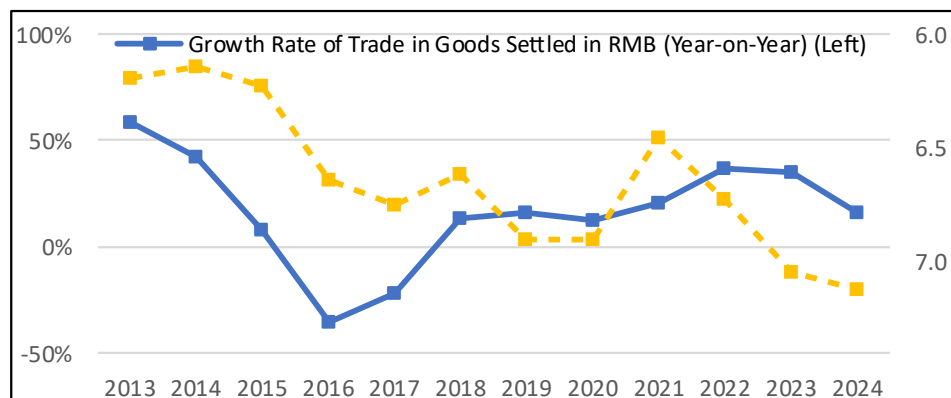
Figure 1: Trends in Cross-Border RMB Transactions by Current and Capital Account Items



Source: The China Financial Yearbook, the RMB Internationalization Report, and the China Monetary Policy Report.

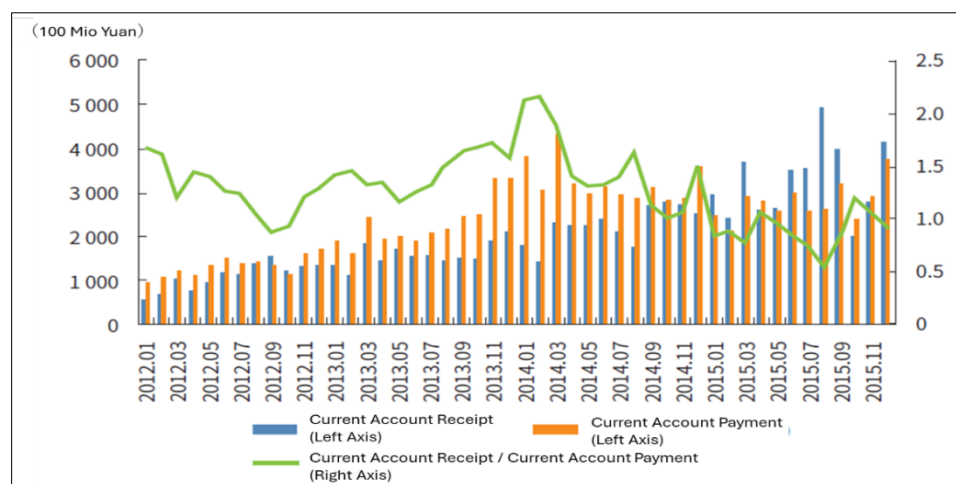
Following the so-called “2015 PRC Shock”, the RMB’s exchange rate against the US dollar began to depreciate, and in 2016 and 2017, the value of goods trade transactions settled in RMB declined (Figure 2). Furthermore, in line with the RMB’s appreciation against the US dollar in 2021, the use of the RMB in goods trade also increased in 2021 and 2022. In 2023 and 2024, the RMB depreciated against the US dollar, and the growth in RMB usage in goods trade has slowed slightly.

Figure 2: Growth Rate of Trade in Goods Settled in RMB (Year-on-Year) and its Relationship with the USD/RMB Exchange Rate



Source: The China Financial Yearbook, the RMB Internationalization Report, and the CFETS.

Figure 3: RMB Settlement for Receipt and Payment in the Current Account

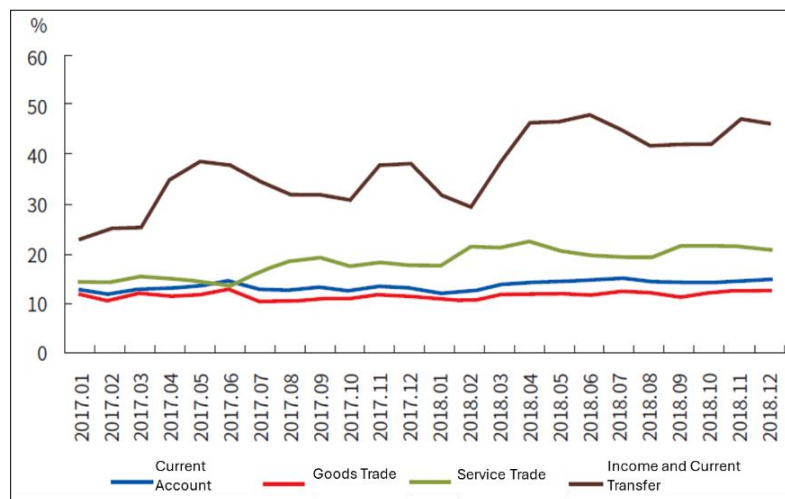


Source: “Payment-to-Receipt Ratio of RMB Settlement Under the Current Account,” The People’s Bank of China, RMB Internationalization Report 2016.

Furthermore, as shown in Figure 3, data from the People’s Bank of China indicate that until around 2014, RMB payments exceeded receipts (an RMB payment surplus) when considering the current account (including goods and services trade) as a whole. However, this trend reversed in 2015, with RMB receipts exceeding payments in the current account. One factor behind this is the impact of exchange rates stemming from the aforementioned “PRC Shock”; however, as shown in Figure 4, the value of RMB settlements in trade in services has increased since 2017. As for the reasons for this, the RMB Internationalization Report (2019) suggests that cross-border receipts and payments in trade in services are concentrated in overseas hotels, airfare, tuition,

travel, and IT services; in particular, it points to the impact of third-party payments (such as Alipay and WeChat Pay) increasing 2.7-fold year-on-year due to the rise in Chinese outbound tourism.

Figure 4: Share of RMB in Cross-Border Receipts and Payments Under Current Transactions (RMB + Foreign Currencies)

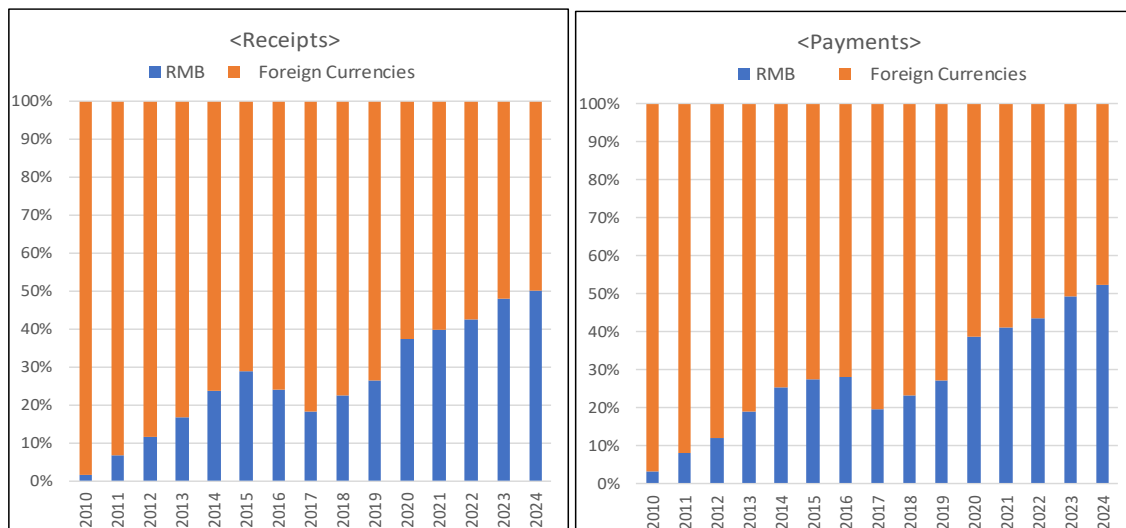


Source: “The Share of RMB Settlement in Total Cross-Border Settlement Under Current Account During 2017-2018,” The People’s Bank of China, RMB Internationalization Report 2019.

The 2017 Report on the Internationalization of the RMB indicates that the use of the RMB grew significantly in 2017 across 29 economies neighboring the PRC, including those in Southeast Asia. A major change at that time was the significant increase in the volume of RMB-denominated direct investment and securities investment. Furthermore, as a result of Chinese companies expanding overseas and the increase in outward investment balances, the proportion of RMB-denominated transactions in the income and transfer balance—which is believed to have increased in recent years due to factors such as dividends—has also risen significantly (as of 2024, approximately 60% is estimated to be RMB-denominated).

With respect to the external receipts and payments on behalf of bank customers, the PRC government (State Administration of Foreign Exchange) has published a breakdown by currency (RMB, US dollar, HK dollar, euro, Japanese yen, and others) (Figure 5). These figures cover all external transactions conducted through banks, including those in current and capital accounts. Since 2010, when RMB-invoiced external settlements began, the share of transactions settled in RMB has increased year-on-year for receipts in 2016 and 2017 and for payments in all years except 2016, while the combined share of transactions settled in foreign currency has decreased.

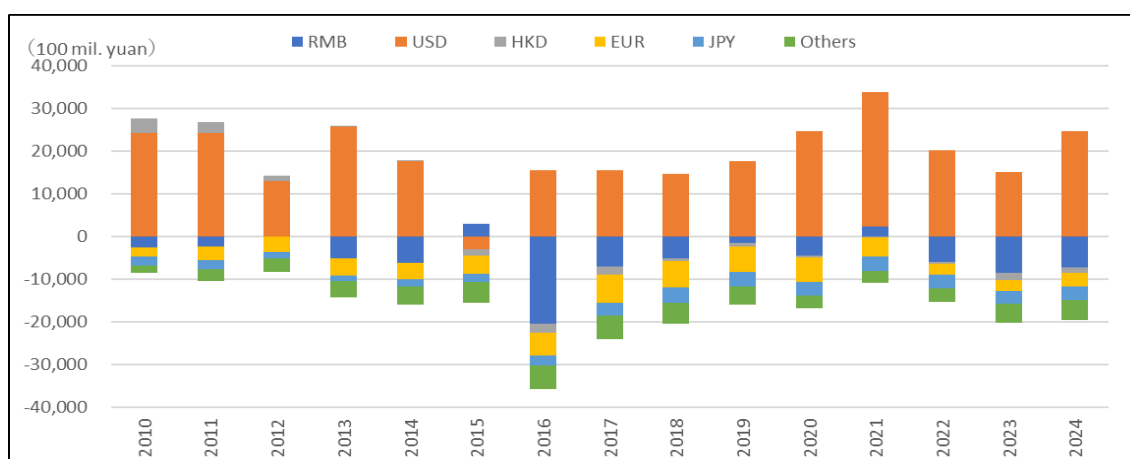
**Figure 5: Overseas Transaction Data via Banks on Behalf of Clients
(Share of Foreign Currency and RMB)**



Source: State Administration of Foreign Exchange, PRC.

Furthermore, when viewed in terms of the balance (difference) between external receipts and payments (Figure 6), transactions settled in dollars have shown a surplus of dollar receipts every year except 2015, while for the RMB, there has been a surplus of payments in all years except 2016 and 2021. For other foreign currencies as well (excluding the HK dollar at the start of the RMB Internationalization program), there has been a payment surplus. This could be interpreted as meaning that while US dollar holdings have increased, expenditures in RMB have risen in line with policy objectives.

Figure 6: External Receipts and Payments Balance Data via Banks on Behalf of Clients (Combined Current and Capital Account, by Currency)



Source: State Administration of Foreign Exchange, PRC.

In regard to the increase in the PRC's transactions settled in RMB, when examining the share of receipts and payments by counterparty economy or region (Figure 7, compiled from annual RMB Internationalization Reports), the proportion of regions such as Hong Kong, China; Singapore; and Macau, China remains consistently high, as in the past.

Given that Hong Kong, China, in particular, serves as an RMB asset center and a gateway for investment into the PRC, it is not surprising that Hong Kong, China accounts for a high proportion—approximately half—of transactions settled in RMB, including investment transactions. On the other hand, it is evident that the proportion of transactions settled in RMB in trade between the PRC and the United Kingdom has been increasing in recent years. In contrast, the proportions for economies and regions such as Germany; Japan; the Republic of Korea; Taipei, China; and Australia have been declining.

Figure 7: Cross-Border Renminbi Receipts and Payments by Economy/Region (Share)

	2016	2017	2018	2019	2020	2021	2022	2023
Hong Kong, China	53.6%	49.7%	40.5%	44.9%	46.0%	48.6%	50.3%	53.0%
Singapore	8.2%	9.0%	9.0%	10.3%	12.9%	11.3%	10.3%	9.8%
United Kingdom	2.4%	2.0%	2.4%	3.0%	5.4%	5.4%	5.9%	5.9%
Macau, China	1.9%	1.7%	2.1%	3.2%	3.8%	3.7%	4.0%	3.8%
Japan	4.0%	4.9%	3.5%	3.1%	2.6%	2.5%	2.4%	1.9%
Germany	4.2%	5.6%	4.2%	3.4%	2.5%	2.3%	2.2%	1.9%
Cayman Islands	1.5%	1.6%	1.1%	-	1.2%	1.7%	1.7%	1.6%
United States	1.9%	1.8%	1.9%	1.7%	2.3%	2.1%	2.0%	1.5%
Switzerland	-	-	1.3%	1.3%	1.2%	1.4%	1.6%	1.4%
Taipei, China	4.1%	3.3%	3.4%	3.3%	2.7%	2.3%	2.2%	1.4%
UAE	-	-	-	-	-	-	-	1.3%
France	-	-	-	-	1.5%	1.5%	1.5%	-
Rep. Korea	2.5%	3.4%	3.9%	2.3%	1.6%	1.6%	1.3%	-
Luxembourg	-	-	1.0%	-	-	1.0%	-	-
Netherlands	-	1.1%	1.2%	1.3%	1.1%	-	-	-
Ireland	-	-	-	1.0%	-	-	-	-
Australia	1.5%	1.1%	1.1%	-	-	-	-	-
British Virgin Islands	1.9%	2.1%	-	-	-	-	-	-
Viet Nam	1.4%	1.1%	-	-	-	-	-	-
Malaysia	-	1.0%	-	-	-	-	-	-
Others	10.9%	12.2%	23.6%	21.2%	17.6%	14.4%	14.6%	16.6%

Source: PBOC, the RMB Internationalization Report.

Although the actual amounts of RMB receipts and payments for each economy/region are not disclosed, estimates based on multiplying the total actual RMB receipts and payments published by the People's Bank of China by the ratios shown in Figure 8 reveal that, while the value of receipts and payments settled in RMB continued to rise through 2023 in most economies and regions with high RMB shares, the value of transactions settled in RMB decreased in economies and regions such as the United States, Japan, the Republic of Korea, and Taipei, China (Figure 8). Although this figure includes not only current account but also capital account transactions, such as bond trading, the decline in the value of transactions settled in RMB in economies with stagnant or declining diplomatic and economic relations with the PRC can be viewed as a symbolic trend.

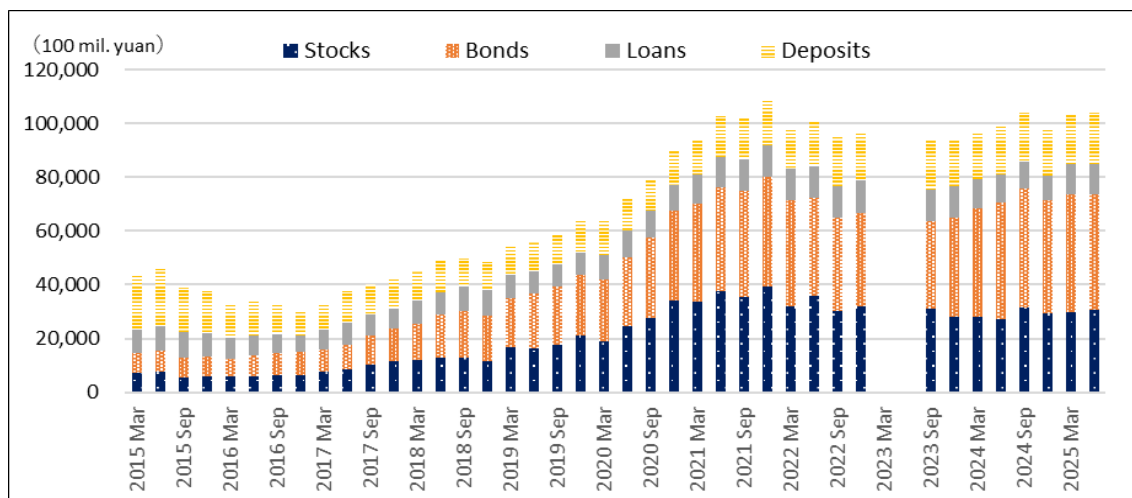
Figure 8: Cross-Border Renminbi Receipts and Payments by Economy/Region (RMB 100 million)

	2016	2017	2018	2019	2020	2021	2022	2023
Hong Kong, China	52,796	45,674	64,193	88,318	130,594	177,925	211,763	277,190
Singapore	8,077	8,271	14,265	20,260	36,623	41,369	43,363	51,254
United Kingdom	2,364	1,838	3,804	5,901	15,331	19,769	24,839	30,857
Macau, China	1,872	1,562	3,329	6,294	10,788	13,546	16,840	19,874
Japan	3,940	4,503	5,548	6,098	7,381	9,153	10,104	9,937
Germany	4,137	5,146	6,657	6,688	7,098	8,420	9,262	9,937
Cayman Islands	1,478	1,470	1,744	-	3,407	6,224	7,157	8,368
United States	1,872	1,654	3,012	3,344	6,530	7,688	8,420	7,845
Switzerland	-	-	2,061	2,557	3,407	5,125	6,736	7,322
Taipei, China	4,039	3,033	5,389	6,491	7,665	8,420	9,262	7,322
UAE	-	-	-	-	-	-	-	6,799
France	-	-	-	-	4,259	5,492	6,315	-
Rep. Korea	2,463	3,125	6,182	4,524	4,542	5,858	5,473	-
Luxembourg	-	-	1,585	-	-	3,661	-	-
Netherlands	-	1,011	1,902	2,557	3,123	-	-	-
Ireland	-	-	-	1,967	-	-	-	-
Australia	1,478	1,011	1,744	-	-	-	-	-
British Virgin Islands	1,872	1,930	-	-	-	-	-	-
Viet Nam	1,379	1,011	-	-	-	-	-	-
Malaysia	-	919	-	-	-	-	-	-
Others	10,737	11,212	37,406	41,700	49,966	52,718	61,466	86,818
Total amount	98,500	91,900	158,500	196,700	283,900	366,100	421,000	523,000

Source: PBOC, the RMB Internationalization Report.

Furthermore, regarding the actual forms in which overseas entities hold RMB assets, data from the People's Bank of China indicate that while holdings of RMB equities have been on a downward trend since 2021, overseas entities' holdings of RMB bonds have generally remained stable² (Figure 9).

Figure 9: Holdings of Renminbi Assets by Nonresident Entities



Source: Domestic RMB Financial Assets Held by Nonresidents, PBOC, the RMB Internationalization Report.

² Data for the first half of 2023 have not been released. This period coincides with the time when turmoil in the bond market was rumored due to the default crisis among Chinese real estate companies.

In the PRC's foreign exchange market spot transactions, the US dollar continues to account for over 95% of all RMB trading (exchange) counterpart currencies. Even as of May 2025, while tariff negotiations with US President Trump were underway, approximately 97% of foreign exchange transactions traded with RMB were in US dollars. Among currencies other than the US dollar, the euro, the Japanese yen, and the HK dollar account for relatively high proportions. Furthermore, the People's Bank of China refers to the 17 currencies of economies with which it has established cooperative relationships under the Belt and Road Initiative as "Belt and Road currencies." By developing foreign exchange transactions between the RMB and these Belt and Road currencies, the bank aims to reduce corporate foreign exchange transaction costs and play a positive role in improving trade convenience and facilitating financing within the Belt and Road region (RMB Internationalization Report 2024).

Tomizawa (2023) analyzes the effects of these direct exchange markets. The People's Bank of China's Monetary Policy Report for the fourth quarter of 2014 (Column 2) notes that the introduction of direct exchange transactions has led to narrower spreads and lower transaction costs, improved exchange rate transparency and flexibility through the optimization of the market maker structure, and enhanced services to the real economy through an increased variety of foreign exchange products offered to customers. It is reported that for currencies where direct exchange was initiated, the average daily trading volume increased to 8.4 times the pre-implementation level.

With regard to the Russian Federation, reports indicated that RMB-invoiced transactions, including resource trades, increased around 2023.³ While the Russian government has released limited specific data, the Bank of Russia's 2023 Annual Report indicates that, in cross-border settlements, Russian banks have expanded their correspondent banking networks with major partner economies and increased settlements in their own currency (the ruble). In particular, as of the end of 2023, it is reported that the RMB's share of the Russian Federation's export receipts reached 35.8%, while its share of import settlements reached 37.0%. While trading in currencies of friendly nations, such as the RMB, is said to be increasing in the Russian Federation's foreign exchange exchanges and over-the-counter (OTC) markets, CFETS data do not necessarily show an increase in ruble transactions on the Chinese side. Furthermore, there are reports that since 2024, Chinese banks, fearing secondary sanctions, have become cautious about using the RMB in transactions with the Russian Federation.⁴

Furthermore, while Chinese statistics currently do not provide numerical evidence that the PRC is increasing RMB-invoiced and settlement transactions in its overseas resource trade (except for the increase in RMB-invoiced transactions for Indonesia's resource imports, which is discussed later), if signs emerge that energy and primary commodity transactions with resource-rich economies are shifting to RMB-invoiced terms,⁵ this could be interpreted as a sign that non-US dollar-invoiced transactions will increase in the future for resource trade among emerging economies.

³ Reuters (2023).

⁴ Bloomberg (2024).

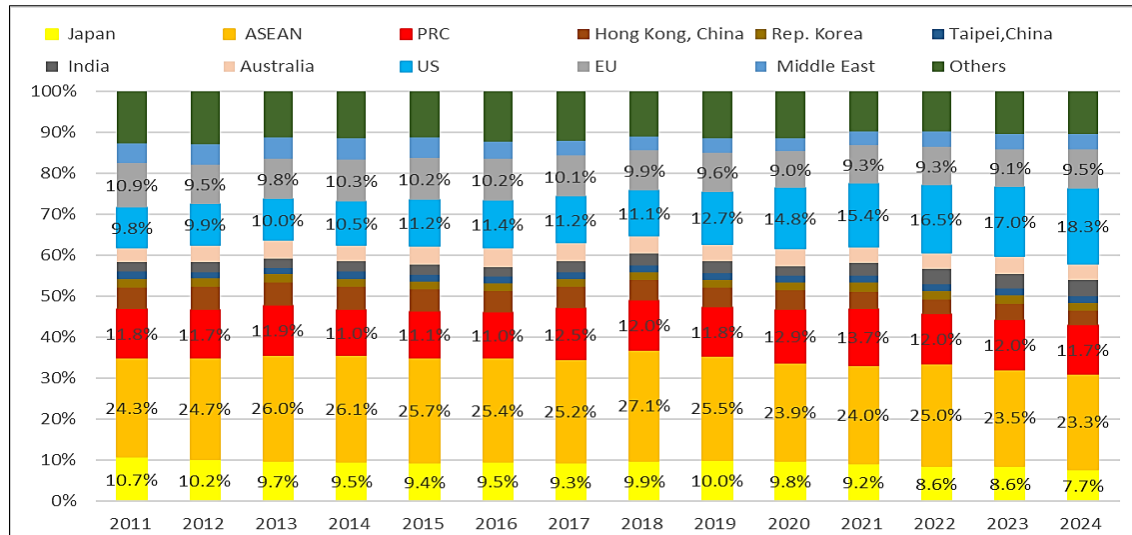
⁵ This development also makes it possible to circumvent economic sanctions imposed by the United States and other countries.

3.2 Thai Baht

In Southeast Asian economies, there is a lack of harmonization of foreign exchange regulations, and access to local currencies and domestic assets is limited. To address these issues, a framework for promoting bilateral transactions invoiced in local currencies was established in 2016 between the Bank of Thailand and the Bank Negara Malaysia (central bank). This initiative was expanded in 2018 to include Bank Indonesia, creating the Local Currency Settlement Framework (LCSF) among Thailand, Malaysia, and Indonesia to increase local currency-invoiced transactions and settlement in trade and investment. Bearing in mind the specific circumstances of each economy, a more harmonized and flexible foreign exchange regime has been adopted. Specifically, flexibility has been introduced into foreign exchange regulations to enable participating banks to offer competitive financial services for cross-border settlements invoiced in local currencies. In 2021, additional participating banks were designated, and in 2023, the framework was expanded to cover all cross-border transactions, not just trade and investment.

Looking at Thailand's trading partners, while Southeast Asia has consistently accounted for about 25% of total exports (Figure 10), the share of exports to the United States has been on the rise since 2019 (18% in 2024), suggesting that the supply chain may have shifted following the establishment of the first Trump administration, which altered the flow of goods within Asia. Goods produced in Thailand, as well as those manufactured domestically using parts imported from other economies in the region, have been redirected for export to the United States.

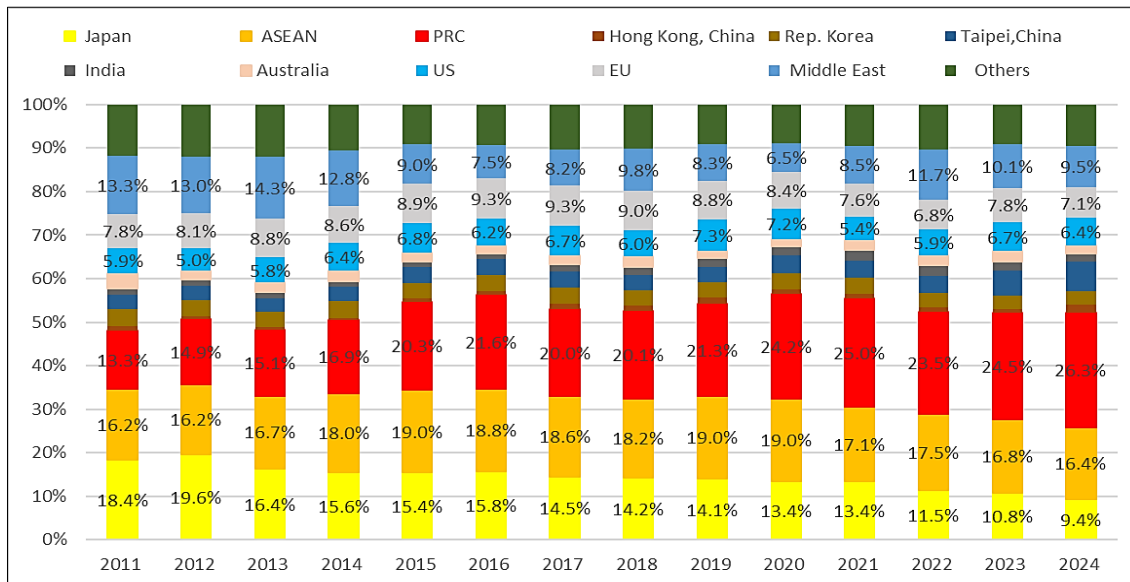
Figure 10: Thailand's Export Value Share by Destination (2011–2024)



Source: Bank of Thailand.

On the other hand, looking at import sources (Figure 11), the PRC's share of total imports rose from about 13% in 2011 to 20% in 2015 and then increased to around 25% in 2023.

Figure 11: Thailand's Import Value Share by Origin (2011–2024)

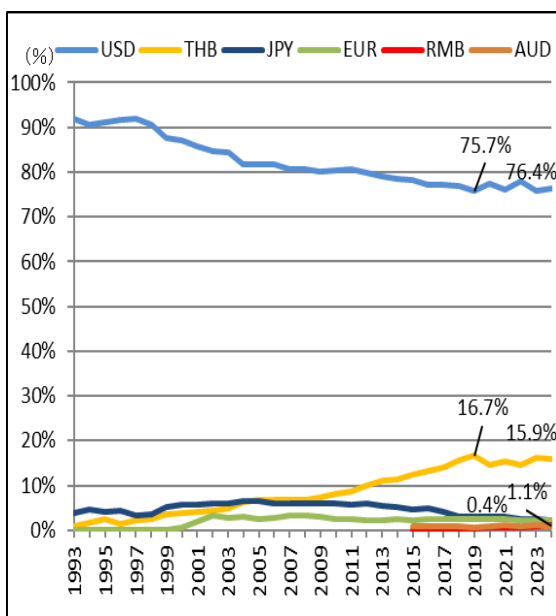


Source: Bank of Thailand.

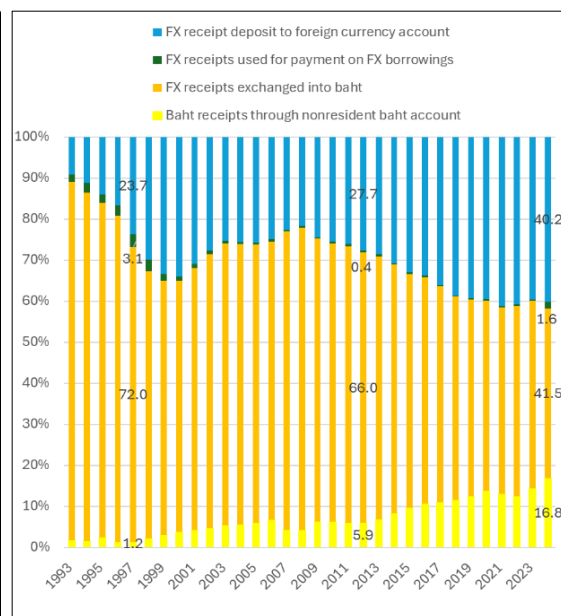
Figure 12: Thailand's Export Receipt Share

Figure 13: Thailand's Export Receipt by Currency (1993–2024)

(Type of Management)



Source: Bank of Thailand.



Looking at trends in currencies in Thailand's export receipts, as published by the Bank of Thailand⁶ (Figure 12), the share of the US dollar fell below 90% following the Asian financial crisis in the late 1990s and has remained in the 70% range since 2012. This period also coincided with the rise of Thailand's economic presence under the "China

⁶ The Bank of Thailand publishes quarterly and annual data.

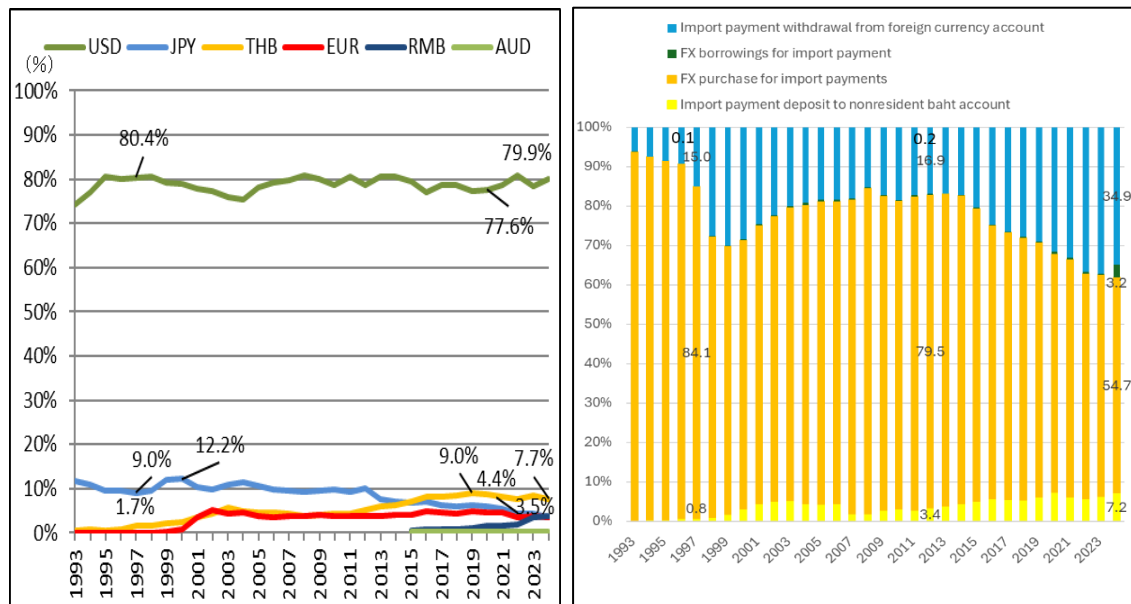
Plus One” strategy. In contrast to this decline in the US dollar, receipts in Thai baht have increased to around the 10% mark since 2012 and have risen to the 15%–16% range in recent years. Furthermore, regarding the holding and management of received currencies, while the proportion of foreign currency previously received and converted into baht accounted for the majority of the total, the proportion deposited in foreign currency accounts (40.2%) has increased, and the proportion received in baht from nonresident baht accounts (16.8%) has also risen (Figure 13).

In contrast, looking at the currencies used for payments in Thailand’s imports from abroad (Figure 14), the proportion of payments in US dollars has remained at around 80% for nearly 20 years, while conversely, the proportion of yen payments has decreased in recent years (from 10.2% in 2012 to 3.5% in 2024)⁷: in their place, the Thai baht currently accounts for around 8%, and the share of payments in RMB also rose to 3.8% in 2024.

Figure 14: Thailand’s Import Payment Share

Figure 15: Thailand’s Import Payment by Currency (1993–2024)

(Type of Management)



Source: Bank of Thailand.

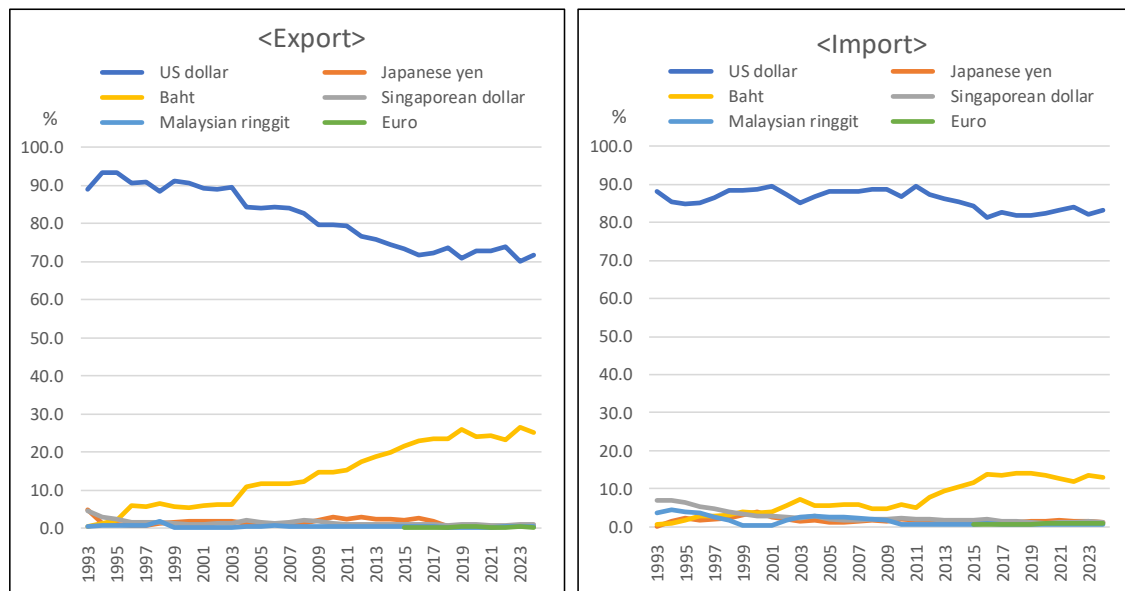
Furthermore, as regards the financing of import payments, the proportion of payments made using foreign currency purchased on the foreign exchange market has decreased significantly (from approximately 80% in 2012 to approximately 55% in 2024), while payments made using foreign currency withdrawn from foreign currency accounts (on hand) have risen to about 35%. Additionally, payments made in baht to nonresident baht accounts have been increasing year by year, reaching 7.2% in 2024 (Figure 15), suggesting that Thai companies (residents) now hold more foreign currency than before, and that the baht economic zone has expanded, with regulations

⁷ Possible reasons for the decline in the Japanese yen’s share include the fact that Japanese companies’ expansion into Thailand (direct investment) has run its course, allowing them to establish local financial subsidiaries (finance companies) capable of managing and operating in Thai baht; furthermore, changes in supply chains may have led local companies’ final export destinations to prefer transactions invoiced in US dollars.

and barriers on nonresidents' baht holdings gradually diminishing. Since 1990, Thailand has gradually relaxed its foreign exchange control policies, allowing companies to settle trade transactions in either foreign currency or baht. It appears that, thanks to the LCSF policies among the three neighboring economies mentioned above, participating companies are benefiting from narrower exchange rate spreads, the availability of forward exchange contracts (hedging products), and preferential exchange fees. In addition, the Thai government has been proactive in strengthening economic partnerships with other economies and in expanding trade and investment.

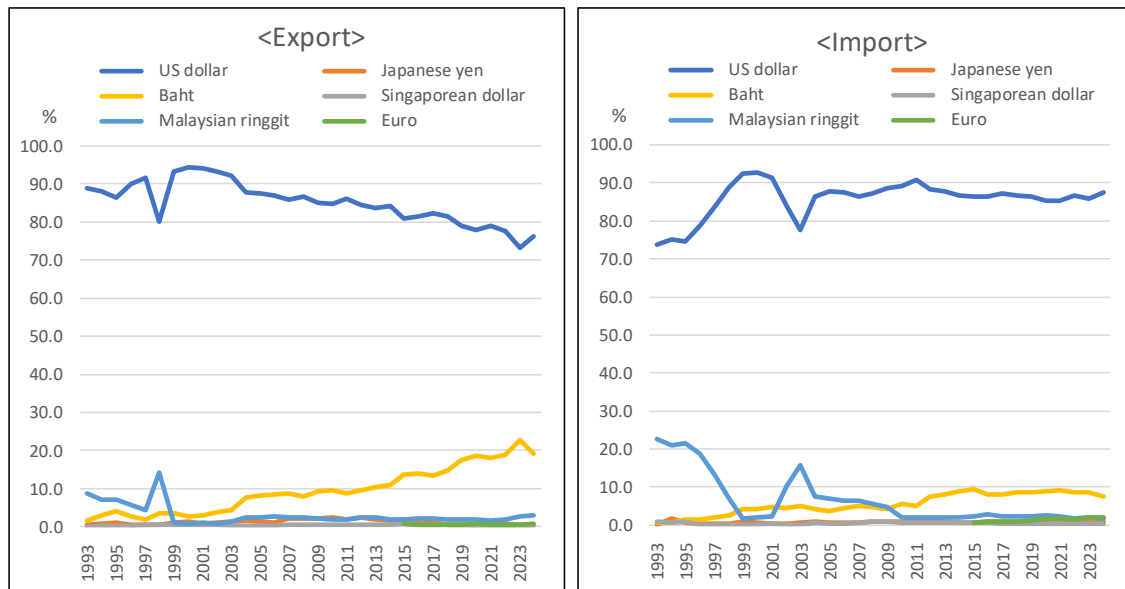
In conjunction with these measures to expand trade and investment, policies promoting transactions invoiced in the Thai currency are beginning to take effect. In particular, baht-invoiced import and export transactions—including those settled in baht (the same applies in this section)—are increasing, particularly with ASEAN economies, seemingly indicating the expansion of the Thai baht economic zone. Furthermore, when examining Thailand's trade with ASEAN by currency, baht-invoiced exports account for around 20% and baht-invoiced imports for around 10%. This indicates that the baht is being used at a higher rate in trade with ASEAN than in global trade transactions (Figure 16).

**Figure 16: Thailand's Trade with ASEAN 9 Economies:
Share by Invoice Currency**



Source: Bank of Thailand.

Looking at bilateral trade with individual economies, in the case of trade between Thailand and Malaysia, the Malaysian ringgit was used more frequently than the Thai baht from the Asian financial crisis until around 2010. However, the usage rate of the Malaysian ringgit has not increased significantly since then, and that of the Thai baht is now higher (Figure 17).

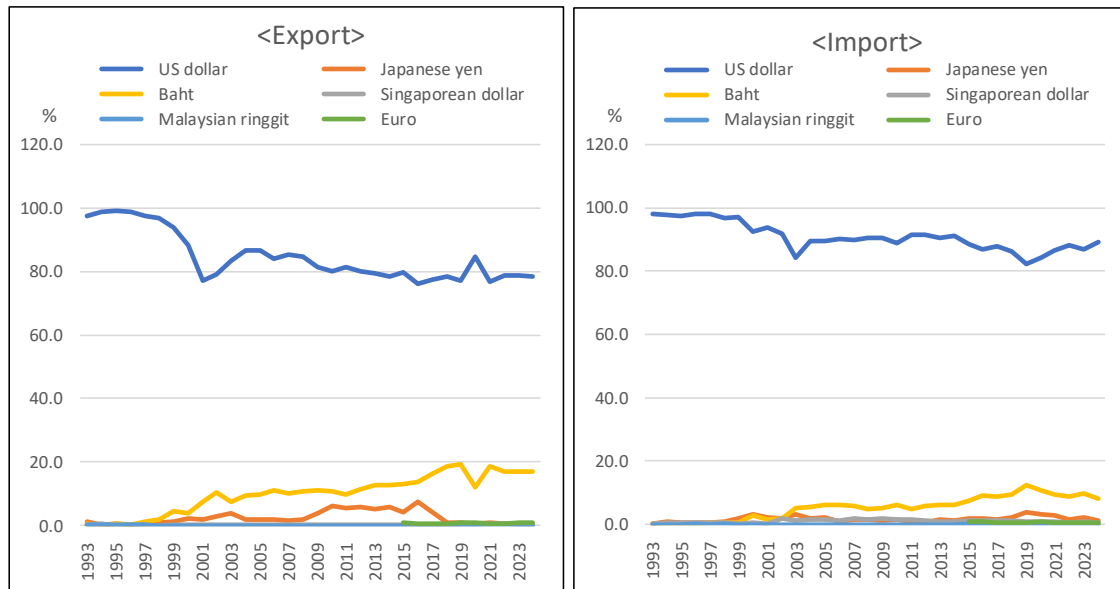
Figure 17: Thailand's Trade with Malaysia: Share by Invoice Currency

Source: Bank of Thailand.

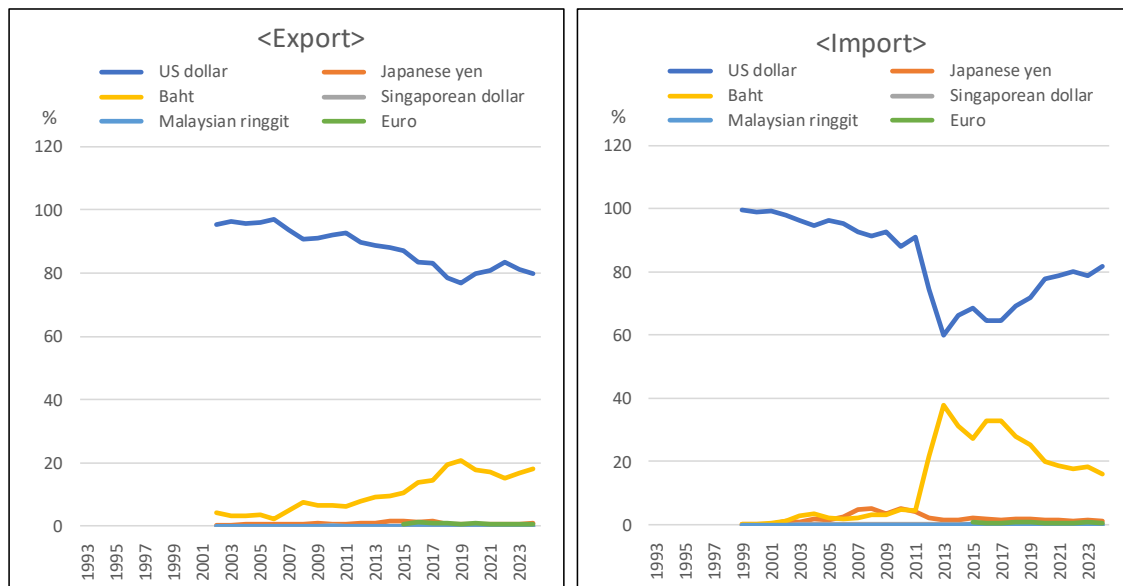
Next, looking at bilateral trade between Thailand and Indonesia (Figure 18), baht-invoiced exports have been on an upward trend (except in 2020), while baht-invoiced imports have remained at around 10%. Meanwhile, Indonesian rupiah-invoiced transactions (classified under “Other Currencies”) exhibit no discernible upward trend. It is estimated that they account for roughly 1%–2% of exports and less than 1% of imports. On the other hand, the fact that the Japanese yen is used in trade between Thailand and Indonesia—accounting for 7.6% of export receipts in 2016 and 3.8% of import payments in 2019—is an interesting consideration when examining Japanese companies’ supply chain networks⁸. Since 2020, however, the share of the Japanese yen in Indonesia’s exports has stabilized at less than 1%, while the share in imports has remained at 1%–2%.

In regard to Thailand’s relationship with Viet Nam, it is evident that, particularly since 2012, the use of the US dollar in bilateral transactions has declined sharply, while, almost symmetrically, payments for imports invoiced in baht have increased (Figure 19). This share rose to nearly 40% in 2013 and remained at around that level until around 2017. While details are left to other studies, it is believed that these changes were influenced by the deregulation of foreign currency account holdings for Vietnamese residents, as well as by changes in trade routes (supply chains) for Vietnamese companies and foreign-invested enterprises in Viet Nam (including Thai companies’ subsidiaries in Viet Nam).

⁸ It is possible that exchange rates and interest rates between the Japanese yen and the Indonesian rupiah influenced currency selection; furthermore, it is conceivable that local subsidiaries of Japanese companies in Thailand conducted yen-invoiced transactions and settlements with affiliated companies or local suppliers in Indonesia.

Figure 18: Thailand's Trade with Indonesia: Share by Invoice Currency

Source: Bank of Thailand.

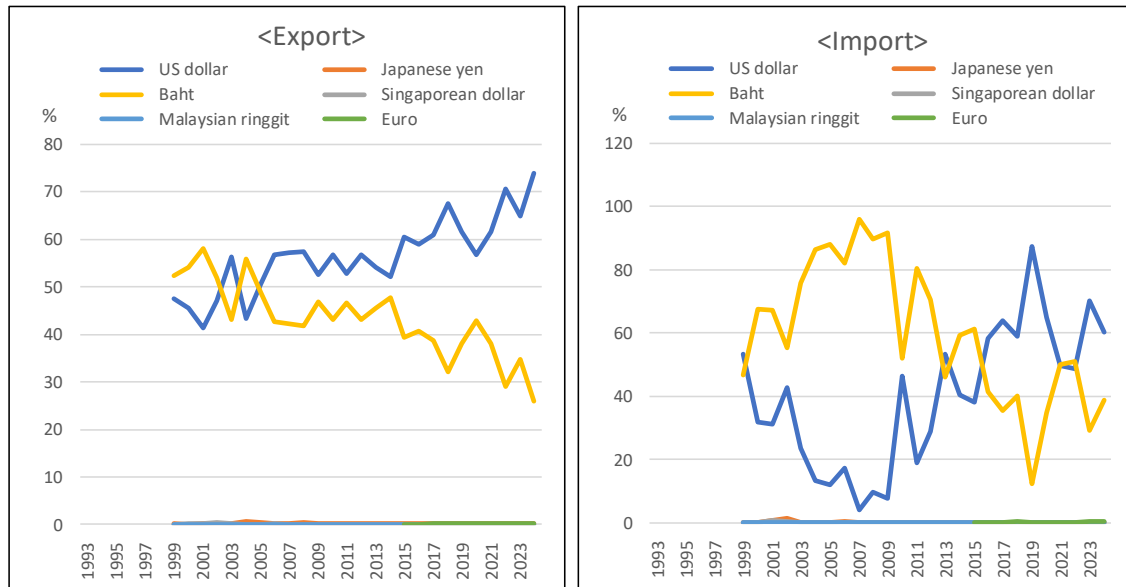
Figure 19: Thailand's Trade with Viet Nam: Share by Invoice Currency

Source: Bank of Thailand.

In bilateral trade between Thailand and the Mekong region—including Cambodia, the Lao PDR, and Myanmar—the proportion of transactions invoiced in Thai baht is higher for both exports and imports compared to bilateral trade with other regions (economies) (Figures 20–22). Over the past 25 years or so, trade has largely been invoiced in either US dollars or Thai baht, with the proportion of transactions in Thai baht being particularly high for trade with the Lao PDR and Cambodia and for exports from Thailand to Myanmar. These statistics are thought to reflect structural changes resulting from the establishment of regional manufacturing supply chains by Thai

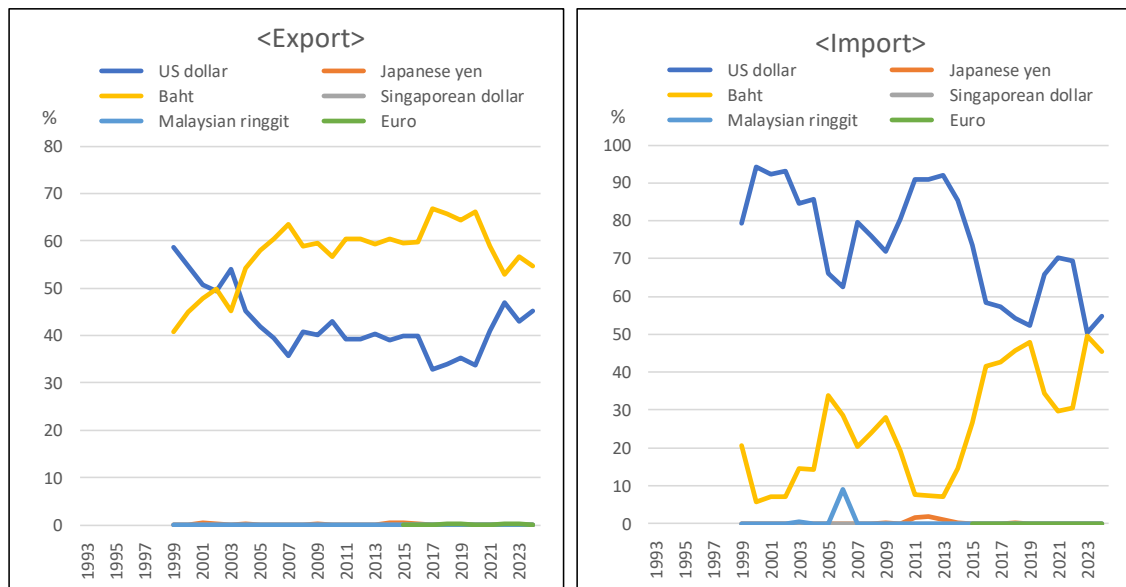
companies and the expansion of Thai firms (including conglomerates and small and medium-sized enterprises) into these regions.⁹

Figure 20: Thailand's Trade with Cambodia: Share by Invoice Currency



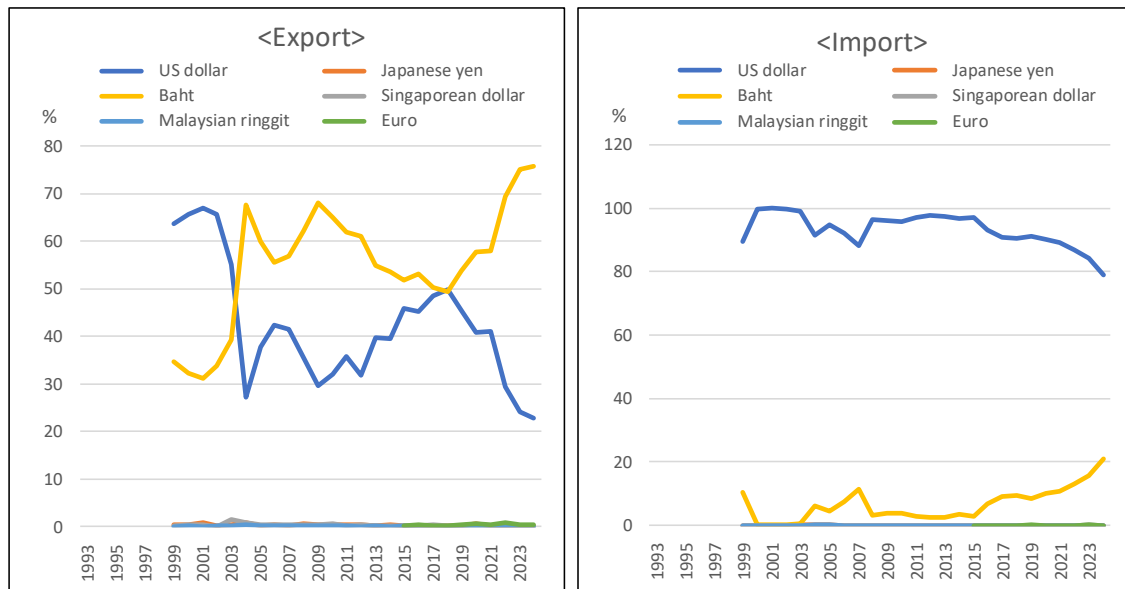
Source: Bank of Thailand.

Figure 21: Thailand's Trade with Lao PDR: Share by Invoice Currency



Source: Bank of Thailand.

⁹ Ongoing clashes near the Thai–Cambodian border since around May 2025 may potentially affect patterns of currency usage going forward, leading to possible changes in these settlement practices.

Figure 22: Thailand's Trade with Myanmar: Share by Invoice Currency

Source: Bank of Thailand.

When we reexamine the growing prominence of the local currency (the Thai baht) in settlement transactions between Thailand and its neighboring economies, it appears that the choice of settlement currencies in Thailand's trade (imports and exports) and the "relatively" high degree of freedom for nonresidents (foreign companies) to hold Thai baht may be contributing to this trend of selecting the baht.¹⁰ Specifically, as illustrated by Figure 23, a look at Thailand's international investment position clearly shows that not only has the balance of foreign direct investment inflows (on the right side for each year) increased, but there has also been a well-balanced rise in inward portfolio investment by nonresidents and outward direct and portfolio investment by Thai companies and individuals (on the left side). Furthermore, the 2024 data indicate that the external investment position has turned into a surplus. With respect to currency preferences, while decisions are likely based on factors such as exchange rate stability, expectations of future currency appreciation, and interest rate conditions, this sense of balance in external positions arguably helps dispel concerns and uncertainties among foreign companies about using and holding the Thai baht as a trading currency.

¹⁰ In Thailand, there is a daily limit of 200 million baht on nonresidents' holdings of Thai baht. In July 2019, as a response to the appreciation of the Thai baht, the Bank of Thailand tightened this regulation by lowering the cap from the previous level of 300 million to 200 million baht. Since 2023, however, the framework has been redesigned to allow greater flexibility for qualified nonresidents with genuine trade- or investment-related needs. For the regulatory status regarding currencies and transactions in the PRC and ASEAN economies, see Tomizawa (2023) and Shimizu and Tomizawa (2026).

Figure 23: Thailand's International Investment Position

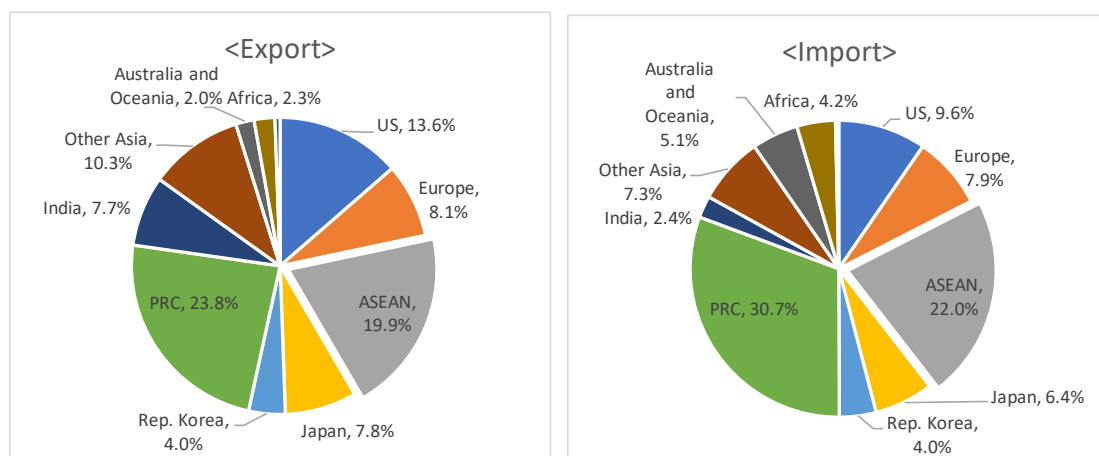


Source: Bank of Thailand.

3.3 Indonesian Rupiah

Looking at Indonesia's trading partners, while ASEAN accounts for about 20% of both exports and imports (Figure 24), the share of trade with the PRC has been growing significantly in recent years, similarly to that of other ASEAN economies. With regard to Indonesia's export destinations, while the share of exports to ASEAN economies was projected to decline from 24.5% in 2019 to 19.9% in 2024, the share of exports to the PRC was expected to rise from 16.6% in 2019 to 23.8%. Similarly, as regards imports, the share from ASEAN decreased from 24.1% to 22%, while the share from the PRC rose significantly from 24.9% to 30.7%.

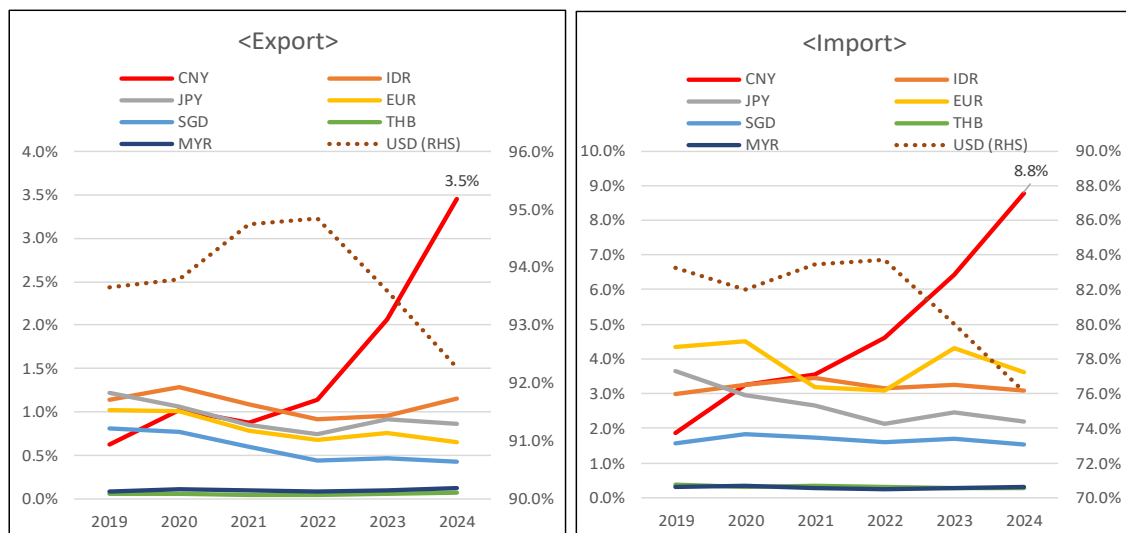
Figure 24: Indonesia's Trade Share by Destination Economy (2024)



Source: Bank Indonesia.

In Indonesia, the central bank publishes monthly data on the invoiced currencies of trade transactions based on customs data.¹¹ While US dollar-invoiced exports account for over 90% of Indonesia's total exports, the proportion of US dollar-invoiced imports fell to around the 70% mark in recent years (Figure 25).

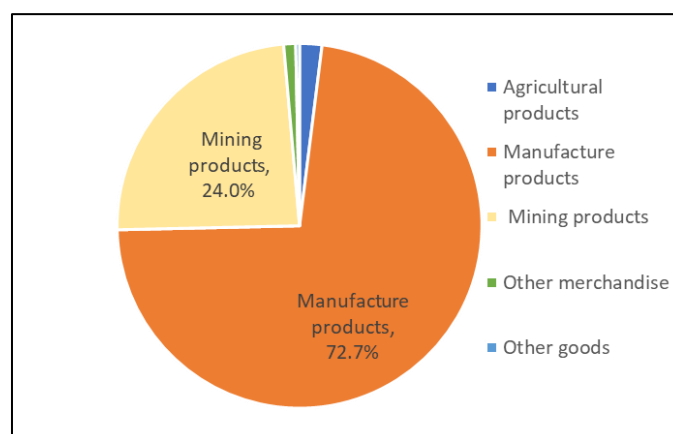
Figure 25: Indonesia's Trade Share by Currency



Source: Bank Indonesia.

Reflecting the aforementioned increase in Indonesia's trade dependence on the PRC, the share of transactions invoiced in RMB was projected to rise to 3.5% for exports and 8.8% for imports by 2024. Currently, while it is generally believed that RMB-invoiced transactions are used primarily in Indonesia's trade with the PRC (rather than between Indonesia and third economies), it can be inferred that approximately a third of the trade between Indonesia and the PRC has shifted to RMB-invoiced pricing and settlement (8.8%/30.7%).

Figure 26: Indonesia's Export by Product (2023)

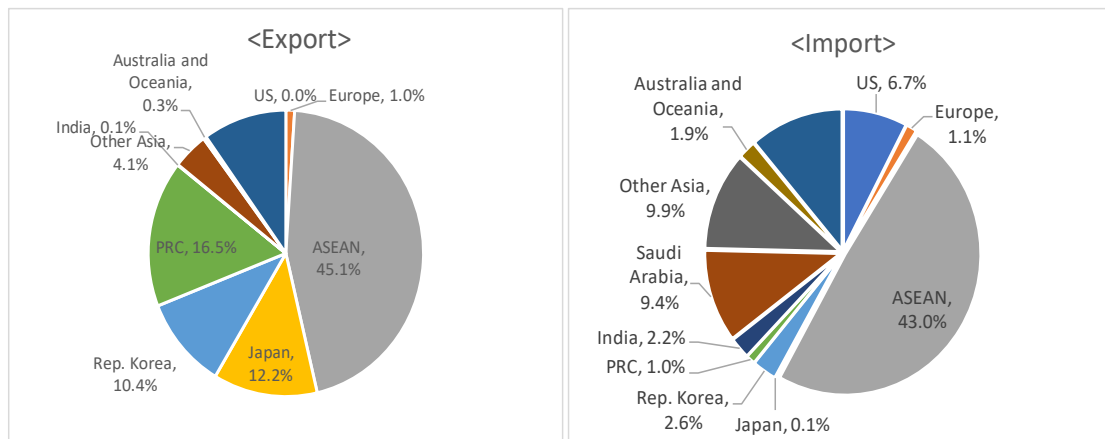


Source: Bank Indonesia.

¹¹ Indonesian Economic and Financial Statistics (SEKI).

According to Indonesian statistics, a breakdown of exported goods shows that more than 70% are manufactured goods, while nearly a quarter are mineral products (Figure 26). In terms of oil and gas export destinations, 45.1% go to ASEAN economies (Singapore 23.7%, Thailand 10.5%, Malaysia 10.5%), while exports also go to Japan and the Republic of Korea (Figure 27). Currency-invoiced statistics specifically for these oil and gas exports from Indonesia also exist, and while the share invoiced in Indonesian rupiah has shown a slight upward trend in recent years, over 90% of transactions continue to be invoiced in US dollars (the value of Indonesia's oil and gas exports invoiced in RMB was zero as of 2023).

Figure 27: Indonesia's Oil and Gas Export by Economy (2023)

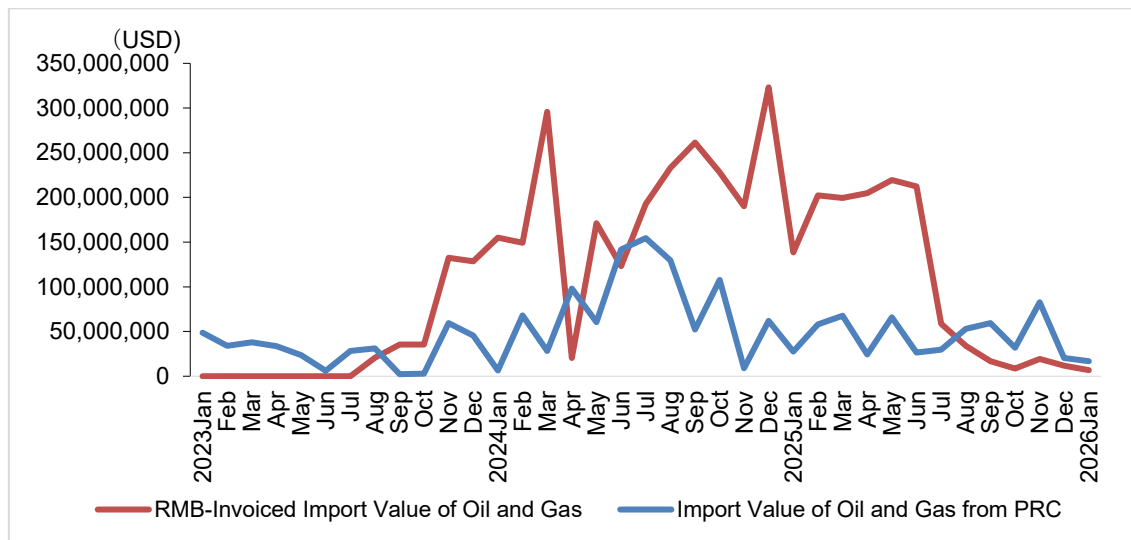


Source: Bank Indonesia.

On the other hand, the picture is different when looking at Indonesia's oil and gas imports (Figure 27). Imports from ASEAN account for 43.0%, of which 29.8% come from Singapore and 12.2% from Malaysia (imports from Thailand account for 0.2%). While imports from the PRC account for only 1.0% (\$353,262), a currency-by-currency breakdown of oil and gas imports reveals that in 2023, RMB-invoiced transactions totaled \$352,521, indicating that nearly all oil and gas imports from the PRC had shifted to RMB settlement (Figure 28). This trend accelerated further in 2024, indicating that even a portion of oil and gas imports from economies other than the PRC had shifted to RMB-invoiced transactions. In trade transactions involving resources, a sharp increase in RMB-invoiced transactions has been observed since August 2023.¹² This is consistent with the suggestion by researchers at the PRC government-affiliated think tanks that the PRC would adopt policies to increase RMB-denominated settlement in resource transactions, which is an interesting development (Tomizawa 2023).

¹² According to data released by Bank Indonesia as of 24 March 2026, in 2025, Indonesia's imports of oil and gas from the PRC amounted to USD548,502,000, while imports of oil and gas settled in RMB totaled USD1,329,242,000. This discrepancy suggests that Indonesia also imported oil and gas from third economies using RMB settlement. At the same time, since July 2025, imports denominated in RMB have declined sharply.

Figure 28: Indonesia's Import of Oil and Gas from the PRC and RMB Invoice Transactions



Source: Bank Indonesia.

Since the mid-2010s, amid changes on the Indonesian side, the central bank has adopted policies prohibiting foreign currency settlements domestically and restricting domestic settlements in the rupiah, as the rupiah has depreciated significantly against the US dollar, negatively impacting the domestic economy. It has also imposed strict measures on the use of the rupiah abroad and by nonresidents. However, since 2022, Bank Indonesia has shifted to a somewhat more flexible stance, outlining a framework to permit trade contracts and settlements invoiced in rupiah, the use of the rupiah in international activities, and incentive schemes.¹³ Furthermore, restrictions on banks' use of the rupiah for bilateral trade settlements and foreign exchange transactions are being eased, depending on the purpose. Moreover, as Bank Indonesia has been promoting direct trading (regional trading) between the RMB and the rupiah with the People's Bank of China in recent years, this aligns with the rapid increase in RMB-invoiced transactions and settlements in Indonesia's import trade since 2023.

Pan Gongsheng, Governor of the People's Bank of China, and Perry Warjiyo, Governor of Bank Indonesia, announced on 25 May 2025 that they had signed a "Memorandum of Understanding (MOU) on the Establishment of a Cooperation Framework Between the People's Bank of China and Bank Indonesia to Promote Local Currency Settlement in Bilateral Transactions." This MOU is seen as an expansion and upgrade of the "Memorandum of Understanding on a Cooperation Framework to Promote Local Currency Settlements in Current Account Transactions and Direct Investment" signed by the two central banks on 30 September 2020.¹⁴ Under the upgraded framework, the scope of cooperation on local currency settlement was extended to all balance-of-payments transactions, including financial account transactions (capital account). In addition, on 11 September 2025, the two central banks jointly launched the bilateral Local Currency Transaction (LCT) framework and a QR code cross-border interoperability cooperation project. According to the press release,¹⁵ during the period

¹³ PBI 24/6/PBI/2022, Bank Indonesia Regulation No. 24/6/PBI/2022 concerning Policy on the Use of Rupiah in International Activities (promulgated on 27 April 2022).

¹⁴ https://www.gov.cn/lianbo/bumen/202505/content_7025218.htm.

¹⁵ <https://www.pbc.gov.cn/goutongjiaoliu/113456/113469/2025091121550013508/index.html>.

from January to July 2025, the value of local currency settlements conducted under the LCT framework between the two economies reached USD6.23 billion, accounting for 45% of Indonesia's total local currency settlement transactions with all trading partners.

3.4 Malaysian Ringgit

According to the explanation in the Bank Negara Malaysia's 2023 Annual Report, as part of multilateral efforts, an ASEAN Task Force was established in 2009 to promote the use of local ASEAN currencies for trade settlements within ASEAN. Also in the same year, as part of an initiative for local currency settlements with the PRC, in addition to bilateral local currency swaps and the granting of investment quotas to qualified foreign investors, direct trading between the RMB and the ringgit began at the China Foreign Exchange Trade System. With the PRC, a bilateral cross-border collateral arrangement was concluded in 2010, an RMB liquidity facility was established (by Malaysia) in 2013, and the Bank of China (Malaysia) was designated as an RMB clearing bank in 2015, thereby establishing a mechanism for supplying local currency liquidity.

Meanwhile, as regards ASEAN economies, in 2015, the Bank Negara Malaysia proposed developing a regional framework for the cross-currency market. Subsequently, Local Currency Settlement Frameworks (LCSFs) were established with the Bank of Thailand in 2016 and Bank Indonesia in 2018. Since then, the scope of transactions has been expanded to include capital transactions and other types, and the number of designated banks has increased. In 2023, the three economies agreed to expand the framework to cover all cross-border transactions.

Since Prime Minister Anwar took office, he has made statements suggesting an expansion of local currency use, including in April 2023, when he said there was no reason to continue relying on the US dollar. Unlike Thailand and Indonesia, the central bank does not regularly publish statistics on local currency transactions; however, looking at the specific figures presented in the aforementioned Annual Report, the share of US dollar-settled transactions in Malaysia's total trade stood at 82% (2023). While the share of ringgit-settled transactions has increased, it remains at 3.6%, whereas that of RMB-settled transactions has risen to 2.9%. Furthermore, while trade with ASEAN accounts for 27.3% of total trade by value, only 13.1% of intra-ASEAN trade is settled in regional currencies.

Figure 29: Share of Local Currency Settlement in Malaysia's Bilateral Trade

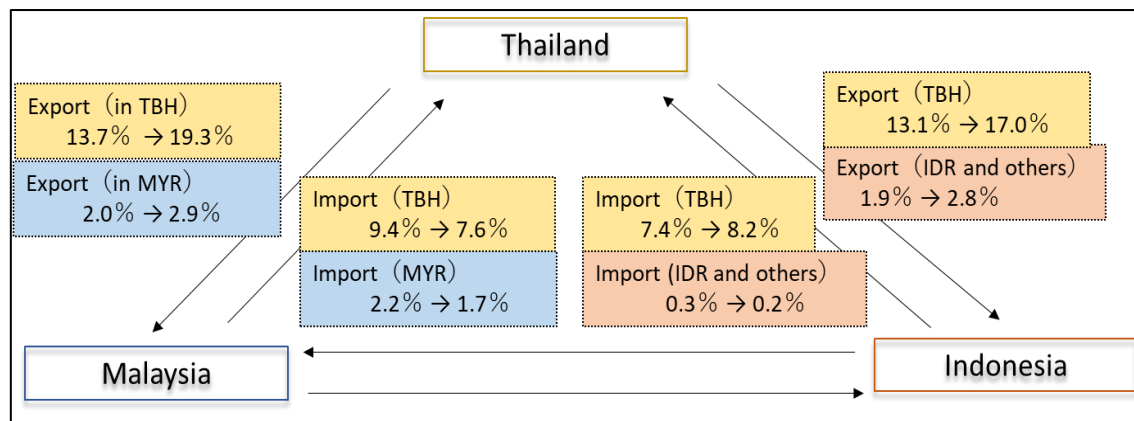
Renminbi(RMB) and Malaysian Ringgit(MYR)			Thai Baht(THB) and MYR			Indonesian Rupiah(IDR) and MYR		
with the PRC	Settlement Amount	Share for Trade with the PRC	with Thailand	Settlement Amount	Share for Trade with Thailand	with Indonesai	Settlement Amount	Share for Trade with Indonesia
2009	0.5 bil. RM	1.2%	2009	1.9 bil. RM	6.4%	2009	1.2 bil. RM	4.5%
2023	57.8 bil. RM	24.4%	2023	11.0 bil. RM	18.6%	2023	5.9 bil. RM	7.6%

Source: Bank Negara Malaysia, Annual Report (2023).

Looking specifically at bilateral trade between Malaysia and the PRC, the value of trade settled in RMB or Malaysian ringgit increased from 500 million ringgit (1.2% of the total trade settlement value) in 2009 to 57.8 billion ringgit (24.4%) in 2023. In contrast, the value of trade settled in both currencies between Malaysia and Thailand and between Malaysia and Indonesia is lower in both value and share than that between Malaysia and the PRC (despite the implementation of the LCSF initiative) (Figure 29). Although

all three economies advocate settlements and usage in their own currencies as a matter of policy, differences in currency preference are thought to arise from the degree of deregulation in foreign exchange and currency markets that underpins this policy, as well as from the stability of each economy's macroeconomy and currency value.

Figure 30: Changes in the Share of Baht-Denominated Bilateral Trade Between Thailand and LCSF Partner Economies (2015 and 2024)



Note: Since the share of Indonesian rupiah in bilateral trade between Thailand and Indonesia is not disclosed, the share of other currencies (others)—excluding the US dollar, Japanese yen, Thai baht, Singapore dollar, Malaysian ringgit, and euro—is used.

Source: Bank of Thailand.

3.5 Australian Dollar

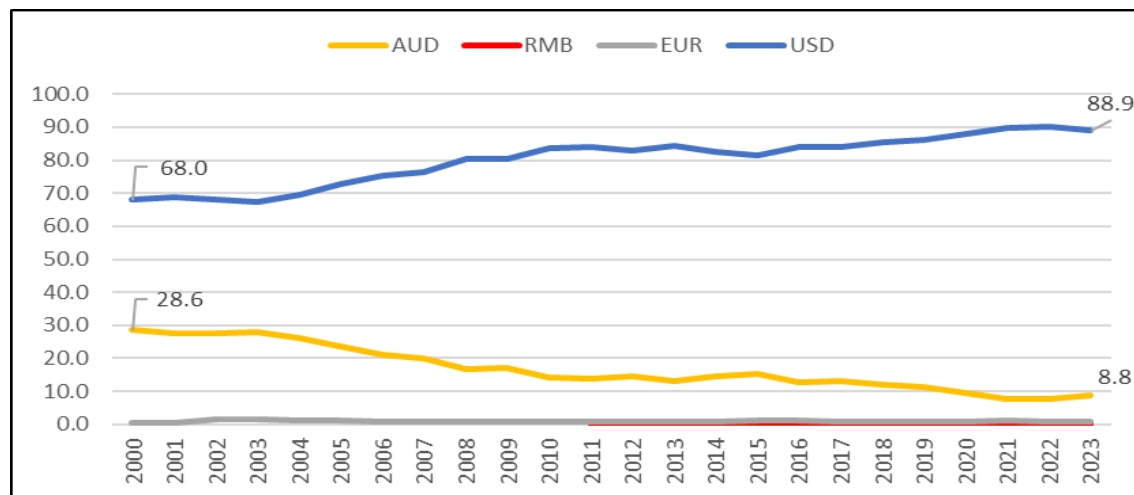
Australia was said to be growing closer economically to the PRC, as evidenced by the PRC's President Xi's 2014 visit to Australia, during which a summit was held, the bilateral relationship was elevated to a "comprehensive strategic partnership," and the Australia–PRC FTA entered into force in 2015. However, in 2017, bilateral relations began to deteriorate due to issues such as funding for Australian political parties and politicians. In 2018, the PRC government suspended the issuance of visas to Australian government officials, and as a result of these changes in foreign relations, significant adjustments were made to economic ties, including trade and investment. In 2021, the Australian government announced it would terminate two Belt and Road-related agreements that the State of Victoria had independently concluded with the PRC in 2018 and 2019. Since 2023, exports of Australian coal to the PRC have resumed, and in 2024, the PRC abolished the additional tariffs it had imposed on Australian products such as wine, indicating that relations are gradually being repaired.

Thus, although periods of rapprochement and distancing have repeatedly alternated within the context of shifting political and diplomatic relations, an examination of the state of bilateral trade between Australia and the PRC shows that over the past decade, the PRC has accounted for more than 30% of Australia's export value and more than 20% of its import value (Appendix 1). Overall, Australia has continued to remain economically dependent on the PRC.

According to data from the Australian Bureau of Statistics, looking at exports from Australia, during the 2023–2024 fiscal year (Australia's fiscal year runs from July to June of the following year), 88.9% of exports were invoiced in US dollars and 8.8% in Australian dollars (Figure 31). Even when viewed over a slightly longer period, the

share of US dollar-invoiced exports has risen from about 70% in 2000 to nearly 90% in recent years (an increase of 7.4 percentage points between the fiscal years 2015 and 2024). Conversely, the Australian dollar's share has fallen from about 30% in 2000 to below 10% in recent years (it declined by 6.5 percentage points over the approximately ten-year period from FY2015). The Japanese yen has also seen its share decline, and the RMB has yet to have a significant impact on Australia's exports.

Figure 31: Australia's Export Value Share by Invoice Currencies (2000–2024)



Source: Australian Bureau of Statistics.

When viewed by commodity, primary products (metal ores) account for approximately 32% of Australia's total export value (2023–2024); however, the US dollar dominates as the currency of trade for these products, accounting for 99% of their value. On the other hand, for Australian dollar-invoiced exports, the latest available commodity-level data for 2020–2021 show that beverages account for the largest share at 77.1%. Meanwhile, exports invoiced in RMB are particularly high for medical products and pharmaceuticals, at 8.5% (Figure 32).

With regard to Australian imports, the share of US dollar-invoiced imports has remained around the 50% mark, while that of Australian dollar-invoiced imports has stayed around 30% (Figure 33). As for RMB-invoiced imports, they accounted for only 1.4% of merchandise imports as of 2023–2024, showing no significant increase. Among imports, 99.4% of petroleum and resource-related imports are invoiced in US dollars (Figure 34). On the other hand, imports invoiced in Australian dollars account for a high proportion of items, including automobiles (80.2% in 2020–2021), medical products and pharmaceuticals (76.9%), and rubber products (53.1%). In addition, imports denominated in RMB show a relatively high share in manufactures of metals, at 6.1%.

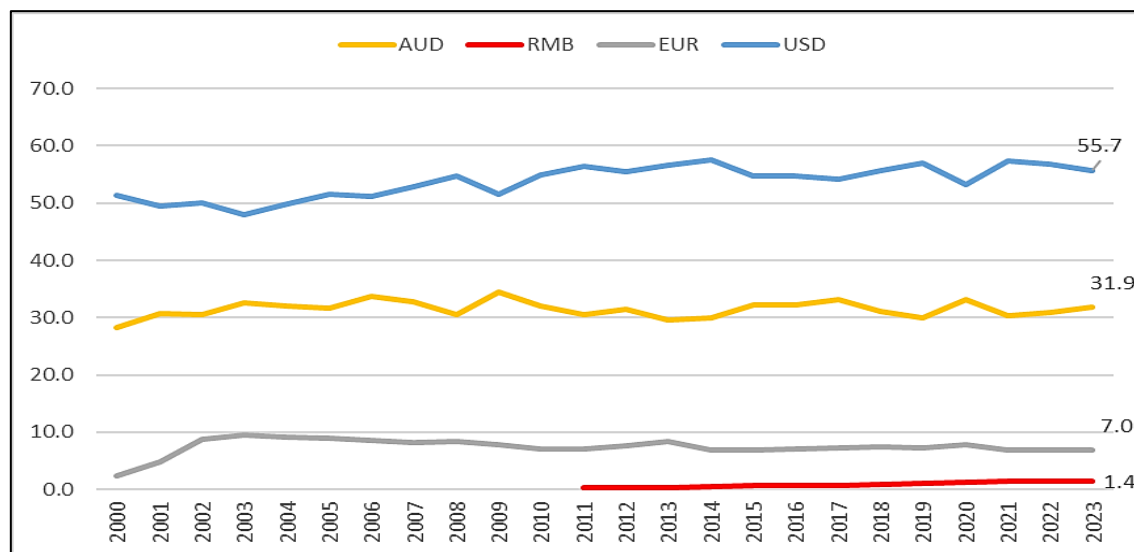
Figure 32: Export Invoice Currencies for Selected SITC rev. 4 Divisions, Contributions – 2020–2021

SITC description	Value AUD, \$m	USD %	AUD %	EUR %	NZD %	GBP %	JPY %	RMB %	Other %
Meat and meat preparations	13,433	59.3	35.7	0.6	0.1	0.7	1.3	0.6	1.7
Dairy products and birds' eggs	2,718	56.1	41.9	0.6	0.1	-	0.1	1.1	0.1
Cereals and cereal preparations	10,213	90.3	7.6	0.7	0.3	-	1.1	-	0.1
Vegetables and fruit	4,216	50.2	48.3	0.4	0.3	0.1	0.5	-	0.3
Beverages	2,930	11.9	77.1	1.8	2.0	3.7	0.3	-	3.3
Oil seeds and oleaginous fruits	2,228	43.1	3.8	50.8	0.1	-	-	-	2.2
Textile fibers (excl. wool tops and other combed wool) and their wastes, not manufactured into yarn or fabric	3,186	83.5	14.2	1.7	0.1	0.3	0.1	0.2	-
Metalliferous ores and scrap metal	179,693	99.5	0.5	-	-	-	-	-	-
Coal, coke, and briquettes	39,186	99.9	0.1	-	-	-	-	-	-
Petroleum, petroleum products, and related materials	9,414	79.9	20.1	-	-	-	-	-	-
Gas, natural and manufactured	31,913	99.8	0.2	-	-	-	-	-	-
Medicinal and pharmaceutical products	4,173	35.5	44.1	2.0	6.3	0.2	0.7	8.5	2.7
Nonferrous metals	11,100	96.4	3.2	-	-	0.1	0.2	-	-
General industrial machinery and equipment, n.e.s., and machine parts, n.e.s.	2,155	31	56.6	6.4	2.8	1.8	0.1	0.1	1.1
Telecommunications and sound recording and reproducing apparatus and equipment	2,296	57.0	38.5	2.5	1.2	0.5	-	-	0.2
Electrical machinery, apparatus and appliances, n.e.s., and electrical parts thereof (incl. nonelectrical counterparts, n.e.s., of electrical household-type equipment)	2,153	33.7	49.7	7.7	5.0	1.8	0.1	0.6	1.5
Professional, scientific, and controlling instruments and apparatus, n.e.s.	3,514	43.1	25.2	10.4	4.0	10.7	1.4	2.2	3.0
Miscellaneous manufactured articles, n.e.s.	2,588	24	55.4	4.1	12.6	1.1	0.1	0.1	2.7
Gold coin whether or not legal tender, and other coin being legal tender	2,253	96.6	3.4	-	-	-	-	-	-
Gold, nonmonetary (excl. gold ores and concentrates)	26,109	95.1	4.9	-	-	-	-	-	-
Other	40,110	52.9	38.8	2.7	2.8	0.5	0.8	0.8	0.9
Total Merchandise exports	395,581	87.8	9.9	0.9	0.5	0.2	0.2	0.2	0.3

Note: – nil or rounded to zero (including null cells). (a) Data as at the June 2021 reference month; 2020–2021 financial year data are preliminary and subject to possible revision. (b) Figures have been rounded, and discrepancies may occur between totals and the sums of the component items. (c) Some SITC divisions exclude commodities subject to a confidentiality restriction. These are included in Other.

Source: Australian Bureau of Statistics. Export and Import Invoice Currencies, 2020–2021.

Figure 33: Australia's Import Value Share by Invoice Currencies (2000–2024)



Source: Australian Bureau of Statistics.

Figure 34: Import Invoice Currencies for Selected SITC rev. 4 Divisions, Contributions – 2020–2021

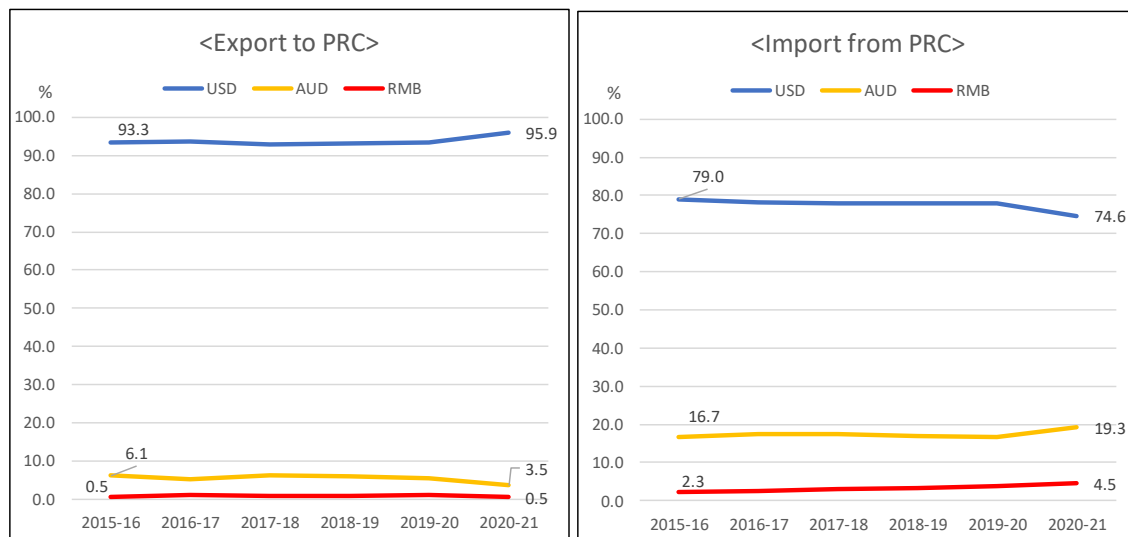
SITC description	Value	USD	AUD	EUR	NZD	GBP	JPY	RMB	Other
	AUD, \$m	%	%	%	%	%	%	%	%
Petroleum, petroleum products, and related materials	25,265	99.4	0.3	0.2	-	-	-	-	-
Medicinal and pharmaceutical products	12,723	16.7	76.9	3.4	0.4	1.2	0.1	0.1	1.2
Rubber manufactures, n.e.s.	4,217	37.8	53.1	5.8	0.2	0.4	1.5	0.3	0.8
Iron and steel	5,424	69.9	18.5	6.8	1.3	0.6	0.4	1.5	1.1
Nonmetallic mineral manufactures, n.e.s.	4,152	69.5	12.4	12.4	0.3	0.7	1.9	1.6	1.3
Nonferrous metals	3,960	83.3	8.2	4.4	0.6	0.6	0.1	2.4	0.4
Manufactures of metals, n.e.s.	9,629	57.8	22.3	9.3	0.8	1.1	0.6	6.1	2.0
Power-generating machinery and equipment	5,264	60.4	15.4	14.8	0.3	1.5	1.8	4.3	1.4
Machinery specialized for particular industries	12,380	37.4	25.6	24.0	0.4	2.0	6.4	1.5	2.7
General industrial machinery and equipment, n.e.s., and machine parts, n.e.s.	16,496	41.3	27.9	21.1	0.7	1.7	2.2	3.1	2.0
Office machines and automatic data processing machines	11,867	72.0	24.0	1.6	0.2	0.4	1.5	-	0.3
Telecommunications and sound recording and reproducing apparatus and equipment	17,512	61.7	35.2	2.0	0.1	0.4	0.2	0.1	0.3
Electrical machinery, apparatus and appliances, n.e.s., and electrical parts thereof (incl. nonelectrical counterparts, n.e.s., of electrical household-type equipment)	19,201	50.4	33.6	9.3	0.3	1.1	0.7	2.5	2.2
Road vehicles (incl. air-cushion vehicles)	41,107	10.9	80.2	3.1	0.2	0.5	3.3	1.0	0.8
Transport equipment (excl. road vehicles)	6,307	60.0	25.6	12.2	0.4	0.8	0.1	0.3	0.7
Furniture and parts thereof; bedding, mattresses, mattress supports, cushions, and similar stuffed furnishings	5,691	78.3	10.1	6.2	0.2	0.5	0.1	4.0	0.5
Articles of apparel and clothing accessories	11,118	77.9	16.1	2.2	0.3	0.7	0.1	2.2	0.4
Professional, scientific, and controlling instruments and apparatus, n.e.s.	8,009	42.7	36.0	14.5	0.6	2.7	0.9	0.4	2.3
Miscellaneous manufactured articles, n.e.s.	17,073	55.9	31.1	6.6	0.7	1.9	0.7	0.9	2.1
Gold, nonmonetary (excl. gold ores and concentrates)	8,027	92.2	1.1	0.1	5.5	-	-	-	1.1
Other	63,358	54.9	27.0	10.9	1.7	1.3	0.9	0.8	2.6
Total Merchandise Imports	308,782	53.3	33.2	7.8	0.8	1.0	1.3	1.3	1.4

Note: – nil or rounded to zero (including null cells). (a) Data as at the June 2021 reference month; 2020–2021 financial year data are preliminary and subject to possible revision. (b) Figures have been rounded, and discrepancies may occur between totals and the sums of the component items. (c) Some SITC divisions exclude commodities subject to a confidentiality restriction. These are included in Other.

Source: Australian Bureau of Statistics. Export and Import Invoice Currencies, 2020–2021.

In Australia's trade with the PRC as well, US dollar-invoiced transactions dominate, accounting for 93.7% of Australian exports and 77.5% of imports. Between 2015–2016 and 2020–2021, the share of US dollar-invoiced exports from Australia to the PRC rose by 2.5 percentage points from 93.3% to 95.9%, while the share of Australian dollar-invoiced exports fell by 2.5 percentage points from 6.1% to 3.5% (the share of the RMB remained unchanged) (Figure 35).

Export and Import Invoice Currencies, 2020–2021. Conversely, for Australian imports from the PRC during the same period, the share invoiced in Australian dollars rose by 2.6 percentage points from 16.7% to 19.3%, while the share invoiced in US dollars fell by 4.3 percentage points from 79.0% to 74.6% (Figure 35). Although the RMB continues to account for a relatively small share of Australia's import payments, its share has increased by 2.1 percentage points over the past six years, from 2.3% to 4.5%.

Figure 35: Australian Trade with the PRC by Invoice Currency (%)

Source: Australian Bureau of Statistics.

3.6 Taipei,China/NT Dollar

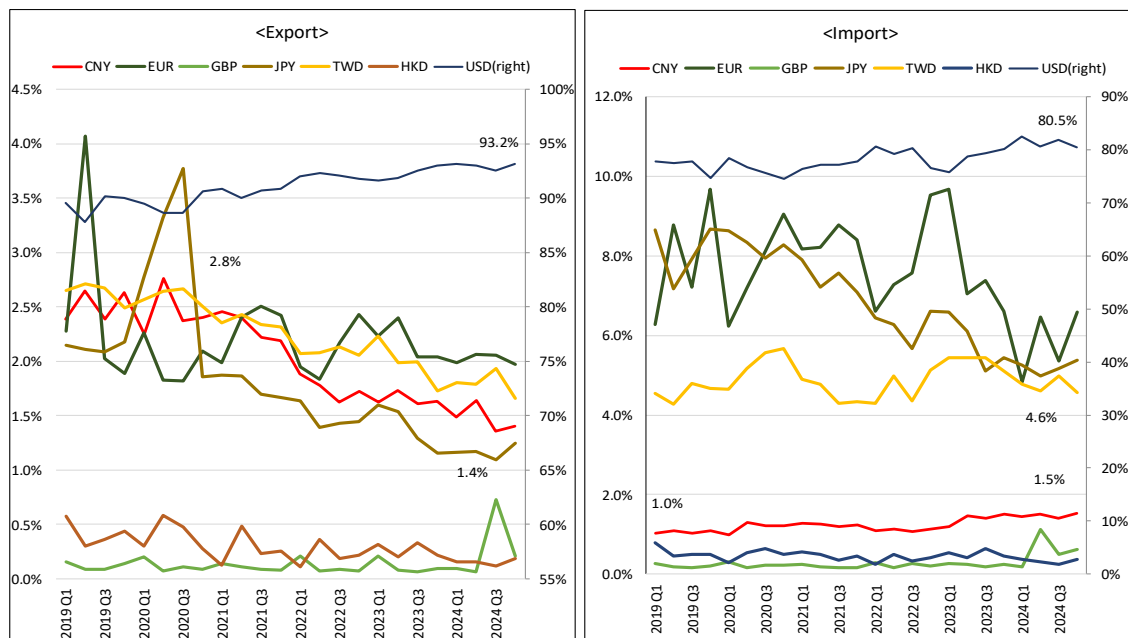
Like Australia, Taipei,China is one of the regions whose foreign and economic relations with the PRC have changed significantly over the past five to ten years. Taipei,China conglomerates such as Hon Hai, which have expanded into the PRC, have become manufacturers there and drive the PRC's export trends. Against this backdrop, under the Chinese Nationalist Party, the Cross-Strait Economic Cooperation Framework Agreement (ECFA) was established in 2010. In 2012, the Bank of China branch in Taipei,China was designated as an RMB clearing bank on the Taipei,China side. In 2013, the two sides agreed to expand securities investments by companies from both sides, denominated in RMB and other currencies. They were moving to strengthen relations in various areas, including trade, investment, and people-to-people exchanges. However, when the Democratic Progressive Party (DPP) returned to power in 2016, a shadow was cast over these relations, and the situation deteriorated to the point where concerns arose about a contingency in the waters separating the PRC and Taipei,China.

Looking at Taipei,China's export and import destinations, exports are led by the United States; the PRC; and Hong Kong, China; which together account for over 50% of the total (Figure 36). In terms of imports, imports from the PRC account for over 20% of the total, nearly double the volume of those from the United States. Notably, perhaps in part due to the success of the New Southbound Policy promoted by the DPP administration, Southeast Asian economies—the policy's primary targets—rank among the top ten.

Figure 36: Major Export and Import Partners of Taipei,China (2024)

	Export Partners	Value (Mil USD)	Share of Total Exports(%)		Import Partners	Value (Mil USD)	Share of Total Imports(%)
1	US	111,362	23.4	1	PRC	79,305	20.1
2	PRC	96,975	20.4	2	US	46,455	11.8
3	Hong Kong, China	53,636	11.3	3	Japan	46,453	11.8
4	Singapore	33,743	7.1	4	Rep. Korea	43,707	11.1
5	Japan	25,836	5.4	5	Malaysia	14,619	3.7
6	Rep. Korea	20,792	4.4	6	Australia	14,598	3.7
7	Malaysia	19,918	4.2	7	Germany	13,536	3.4
8	Viet Nam	14,276	3.0	8	Singapore	9,704	2.5
9	Thailand	11,820	2.5	9	Saudi Arabia	8,446	2.1
10	Netherlands	9,688	2.0	10	Viet Nam	7,925	2.0

Source: Single Window Service Center in Taipei,China.

Figure 37: Taipei,China's Trade Share by Currency (2019–2024)

Source: Taipei,China Single Window Service Center.

Taipei,China's Single Window Service Center publishes the share of 28 currencies invoiced for both exports and imports based on customs-declared values on a quarterly basis in 2024.¹⁶ Perhaps due to Taipei,China maintaining a certain distance from the PRC—as evidenced by the reelection of President Tsai in 2020 and the election of President Lai in 2024—the share of US dollar-invoiced exports has exceeded 90% since 2020 and has continued to rise in recent years (Figure 37). Furthermore, the share of exports invoiced in RMB has fallen by half, from 2.8% in the second quarter of

¹⁶ Data prior to 2018 are currently not available as of 31 March 2026.

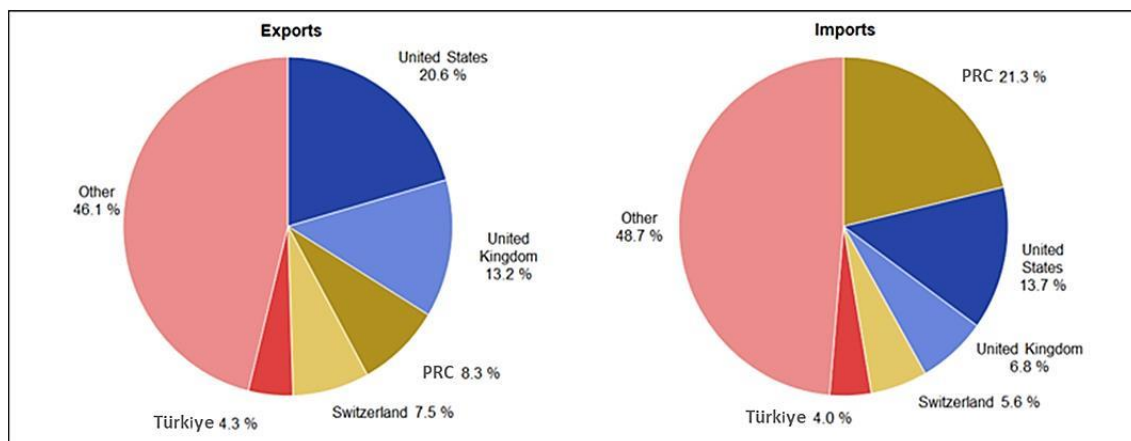
2020 to 1.4% in the fourth quarter of 2024. On the other hand, the share of US dollar-invoiced imports in Taipei,China has also exceeded 80% and continues to rise. Unlike exports, the RMB is also gradually increasing its share (1.5% as of the fourth quarter of 2024).

As for the local currency, the NT dollar, it is worth noting that its use in exports has declined, and its share in imports has not grown in recent years, likely due to the nature of the currency and regulatory conditions (as of Q4 2024, 1.7% for exports and 4.6% for imports). In reality, companies in Taipei,China—including not only large corporations but also Taipei,China-owned small and medium-sized enterprises—have become integral cogs in the PRC’s economy. Given these ties, the demand for RMB-invoiced transactions between the PRC and Taipei,China is likely to persist to some extent. However, bearing in mind the current cross-strait relations, a sharp increase in such transactions seems unlikely.

3.7 Status of Local Currency Transactions in the EU (Including the RMB)

With regard to the EU-27’s trade in goods with non-EU economies, the top destinations for EU exports in 2024 were the United States (20.6%), the United Kingdom (13.2%), the PRC (8.3%), Switzerland (7.5%), and Türkiye (4.3%), while EU imports came from the PRC (21.3%), the United States (13.7%), the United Kingdom (6.8%), Switzerland (5.6%), and Türkiye (4.0%)^{17,18} (Figure 38).

Figure 38: EU’s Main Partners for Trade in Goods, 2024
(% Share of Extra-EU Exports/Imports)

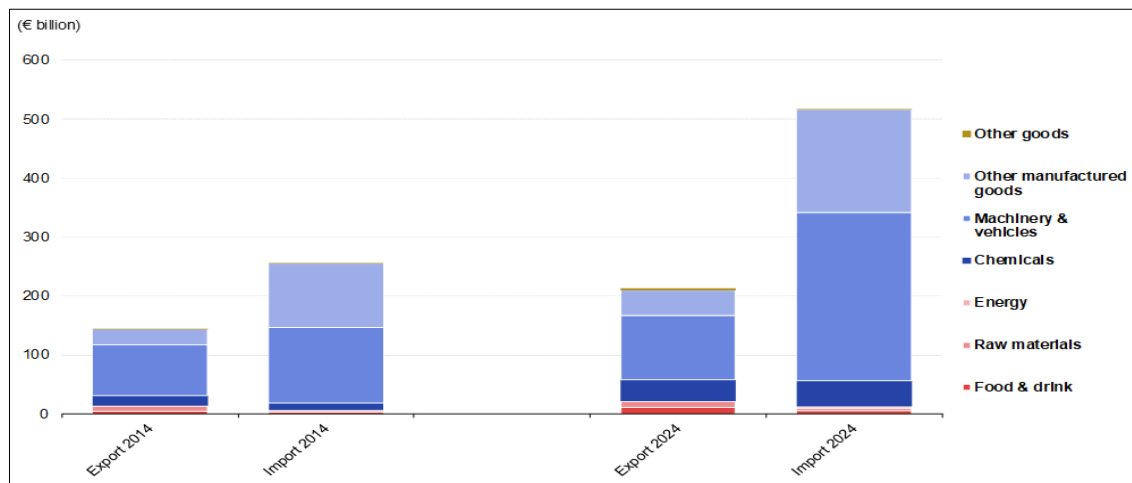


Source: Eurostat. EU–PRC international trade in goods statistics (February 2025).

In terms of trade structure, the EU has a trade surplus with the United States and a trade deficit with the PRC. In particular, imports from the PRC have increased significantly in recent years, with rising imports of telecommunications equipment, automobiles and parts, and chemicals being the main causes of the trade deficit with the PRC (Figure 39).

¹⁷ This section refers to Eurostat, “EU–PRC international trade in goods statistics” (February 2025), and uses the data and figures presented therein.

¹⁸ Japan ranks sixth among export destinations and ninth among import sources.

Figure 39: EU Trade with the PRC by Product Group, 2014 and 2024

Source: Eurostat. EU–PRC international trade in goods statistics (February 2025).

Looking at EU member states individually, the share of exports to the PRC in each economy's total exports outside the EU (2024) is particularly high in Germany (12.7%), Finland (11.6%), Slovakia (10.9%), Denmark (10.5%), and the Netherlands (9.0%) (Figure 40). Furthermore, the share of imports from the PRC in total imports from outside the EU is consistently above 20% in the Czech Republic (41.7%), Estonia (30.1%), Poland (30.0%), Hungary (26.1%), and the Netherlands (25.2%), revealing a high level of dependence on imports from the PRC (Figure 41).

Figure 40: EU Exports of Goods to the PRC, 2024

	€ million	% of PRC in extra EU exports
Germany	89,937	12.7
France	23,855	8.7
Netherlands	23,772	9.0
Italy	15,344	5.0
Ireland	9,433	7.0
Belgium	7,881	4.8
Spain	7,467	5.1
Sweden	6,558	7.9
Denmark	5,889	10.5
Austria	5,303	8.4
Finland	3,509	11.6
Poland	3,311	3.6
Czechia	3,109	6.2
Slovakia	2,569	10.9
Hungary	1,508	4.6
Bulgaria	752	4.9
Romania	720	2.8
Portugal	614	2.7
Greece	415	1.8
Slovenia	300	0.9
Estonia	244	5.1
Luxembourg	237	8.1
Lithuania	207	1.7
Latvia	201	3.5
Croatia	112	1.3
Cyprus	31	1.1
Malta	29	1.7

Source: Eurostat. EU–PRC international trade in goods statistics (February 2025).

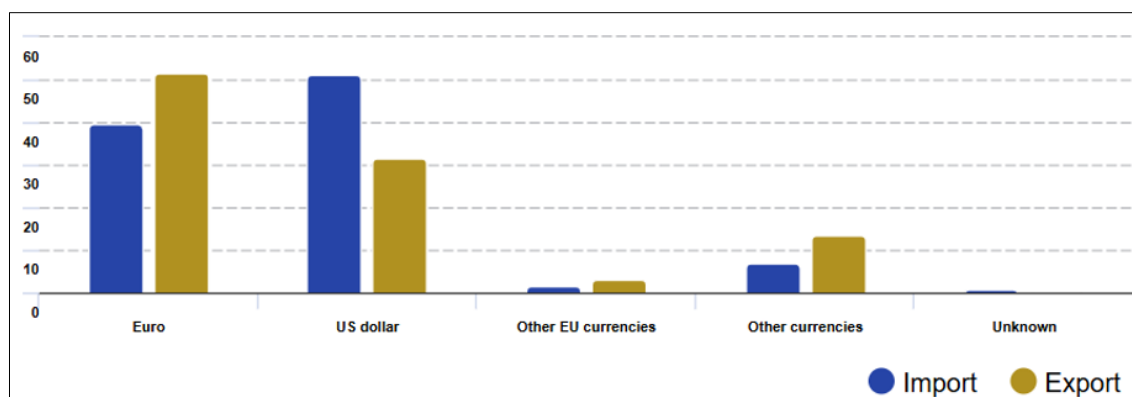
Figure 41: EU Imports of Goods from the PRC, 2024

	€ million	% of PRC in extra EU imports
Netherlands	108,933	25.2
Germany	95,764	21.1
Italy	49,578	20.6
France	43,707	17.3
Spain	36,841	19.1
Poland	34,300	30.0
Belgium	32,104	17.9
Czechia	25,557	41.7
Sweden	10,324	18.0
Hungary	10,226	26.1
Ireland	9,289	12.0
Slovenia	9,232	20.2
Denmark	8,702	23.1
Romania	7,837	22.3
Greece	6,944	16.9
Austria	6,181	14.5
Portugal	5,122	18.7
Finland	3,952	18.3
Slovakia	3,894	18.5
Bulgaria	2,749	12.9
Lithuania	1,882	14.5
Croatia	1,463	15.1
Estonia	984	30.1
Cyprus	943	18.8
Latvia	832	21.6
Malta	348	11.4
Luxembourg	157	8.2

Source: Eurostat. EU–PRC international trade in goods statistics (February 2025).

As regards the currency denominations of imports and exports among the 27 EU member states, in trade in goods with non-EU economies, the euro accounted for 51.7% of exports and 39.7% of imports. In contrast, the US dollar accounted for 31.4% of exports and 51.1% of imports (2024, Figure 42). Thus, it is notable that the euro is most commonly used for exports, and the US dollar for imports.

Figure 42: Extra-EU Trade in Goods by Currency (2024, %, Share by Currency)



Note: Other EU currencies: Bulgarian lev, Czech koruna, Danish krone, Hungarian forint, Polish zloty, Romanian leu, and Swedish krona.

Source: Eurostat. Extra-EU trade by invoicing currency (May 2025).

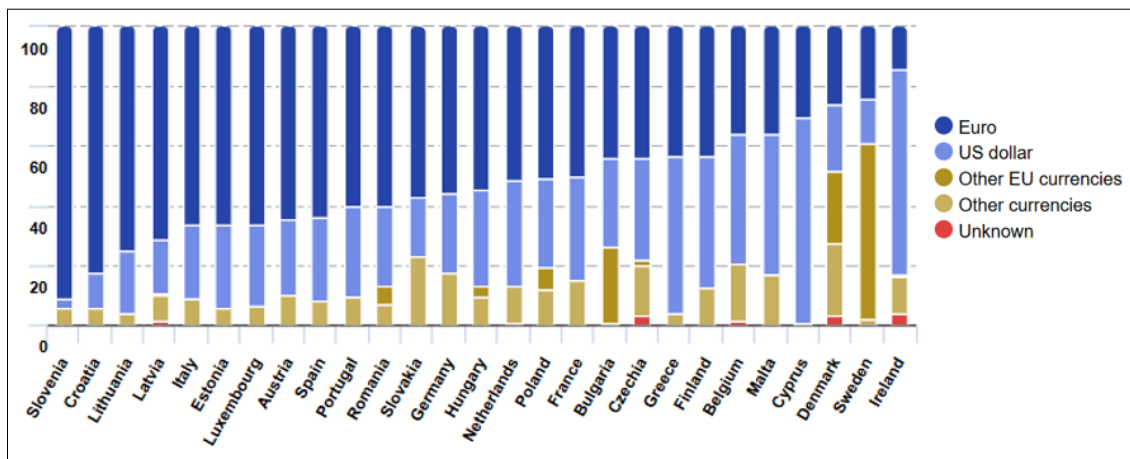
Statistics on the currency denomination of imports and exports by economy have also been published.¹⁹ For exports, the euro is the most frequently used currency in 20 of

¹⁹ This section draws on Eurostat, “Extra-EU trade by invoicing currency” (May 2025), using the data and figures published therein.

the 27 economies (Figure 43). The share of euro-invoiced transactions is particularly high in Slovenia (91%), Croatia (83%), and the Baltic states, such as Lithuania (75%). Conversely, Ireland has the lowest share of euro-invoiced exports (14%), with the US dollar accounting for 69%. Thus, among the 27 EU member states, the US dollar exceeds the euro in exports for six economies.

Furthermore, the only three EU member states where the share of currencies other than the euro exceeds 10% are Sweden (59%), Bulgaria (25%), and Denmark (24%); it is believed that their respective national currencies—the Swedish krona, the Bulgarian lev, and the Danish krone—are widely used²⁰. Conversely, the share of national currencies used in exports is low in the Czech Republic (2%), Hungary (4%), Poland (7%), and Romania (6%). Furthermore, in Denmark and Slovenia, the share of currencies other than those mentioned above (the euro, the US dollar, and currencies of EU member states other than the euro) is high at 24% and 23%, respectively.

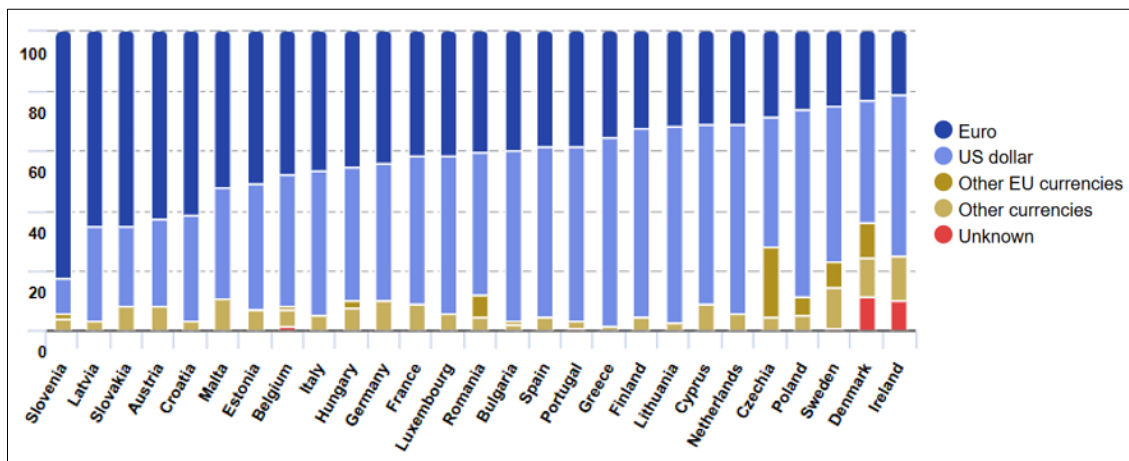
Figure 43: Extra-EU Exports by Currency (2024, %)



Source: Eurostat. Extra-EU trade by invoicing currency (May 2025).

As mentioned above, the situation regarding imports of goods into EU economies outside the EU differs from that of exports; in 18 of the 27 member states, the US dollar is the most widely used currency (Figure 44). The highest share of US dollar usage is in Lithuania at 66%, while the lowest is in Slovenia at 12%. In the remaining nine EU economies, euro-invoiced transactions are most commonly used for imports, with high proportions in Slovenia (83%), Latvia (65%), and Slovakia (65%). As with exports, Ireland has the lowest proportion of euro-invoiced imports (21%), while US dollar-invoiced transactions account for 54%.

²⁰ The euro is the official currency in 21 of the 27 EU member states (including Bulgaria, which adopted the euro in January 2026). In economies that have not yet adopted the euro, the Czech koruna (CZK), the Danish krone (DKK), the Hungarian forint (HUF), the Polish zloty (PLN), the Romanian leu (RON), and the Swedish krona (SEK) are used as their respective legal tender. The euro is also the legal tender in six non-EU member states (Monaco, San Marino, Vatican City, Andorra, Kosovo, and Montenegro).

Figure 44: Extra-EU Imports by Currency (2024, %)

Source: Eurostat. Extra-EU trade by invoicing currency (May 2025).

With respect to imports, only two economies—the Czech Republic (24%) and Denmark (12%)—have a share of non-euro EU member state currencies exceeding 10% (in other economies, the figures are Sweden 9%, Romania 7%, Poland 6%, Hungary 3%, and Bulgaria 1%). Furthermore, in Ireland (15%), Denmark (13%), Sweden (13%), and Malta (11%), the share of currencies other than those mentioned above (the euro, the US dollar, and currencies of other EU member states) is high.

Next, looking at EU exports by commodity type, we see that 70% of petroleum product exports are invoiced in US dollars and 27% in euros, while for imports, 87% are invoiced in US dollars and 13% in euros, indicating that the US dollar predominates. Here, we will focus once again on the role of the PRC, particularly RMB-invoiced transactions, in EU trade settlements and summarize the findings from Eurostat's SITC data by product category. The share of RMB-invoiced and settled exports from EU member states to non-EU economies stood at 2.2% for the EU as a whole in 2022 and remained at 1.8% in 2024 (Figure 45). Breaking this down by economy, Slovakia accounted for 6%–7%, Germany for 3%–4%, and France for 3%, representing slightly higher proportions compared to other economies.

Similarly, as regards imports, the share of RMB-invoiced and settled transactions in the EU's imports from outside the EU rose from 1.4% in 2022 to 1.9% in 2024. Breaking this down by economy, Denmark accounted for 4%–5%, Slovakia and Hungary for 4%, and Germany for 3%, representing slightly higher shares (Figure 46).

Figure 45: RMB Share for Extra-EU Exports, SITC Product Group (2021–2024)

GEO (Labels)	TIME	2021	2022	2023	2024
European Union (EU6-1958, EU9-1973)	:	:	2.2	:	1.8
European Union - 27 countries (from 2007)	:	:	2.2	:	1.8
Belgium	:	:	1.1	1.8	1.8
Bulgaria	:	:	0.0	n	0.0
Czechia	:	:	1.2	1.1	0.7
Denmark	:	:	2.3	:	2.5
Germany	4.8	:	4.8	4.1	3.4
Estonia	0.4	:	0.3	0.6	0.3
Ireland	1.5	:	1.3	1.0	1.0
Greece	:	:	0.2	0.2	0.3
Spain	:	:	0.2	:	0.2
France	:	:	2.7	2.7	2.5
Croatia	:	:	0.0	n	0.0
Italy	:	:	1.5	:	1.3
Cyprus	:	:	0.0	n	0.0
Latvia	0.0	n	0.1	0.1	0.0
Lithuania	0.0	n	0.0	n	0.0
Luxembourg	:	:	0.1	:	0.0
Hungary	:	:	1.2	:	1.0
Malta	0.0	n	0.3	0.7	0.3
Netherlands	:	:	0.6	0.6	0.6
Austria	:	:	1.3	:	1.1
Poland	0.2	:	0.2	0.3	0.3
Portugal	0.2	:	0.2	0.1	0.1
Romania	0.7	:	0.6	0.5	0.3
Slovenia	0.0	n	0.0	0.1	0.0
Slovakia	4.7	:	6.9	5.6	5.7
Finland	:	:	1.1	1.3	1.5
Sweden	:	:	0.0	n	0.0

Source: Eurostat (data as of 29 April 2025).

Figure 46: RMB Share for Extra-EU Imports, SITC Product Group (2021–2024)

GEO (Labels)	TIME	2021	2022	2023	2024
European Union (EU6-1958, EU9-1973)	:	:	1.4	:	1.9
European Union - 27 countries (from 2007)	:	:	1.4	:	1.9
Belgium	:	:	1.2	1.4	1.7
Bulgaria	:	:	0.2	:	0.3
Czechia	:	:	0.8	0.8	0.7
Denmark	:	:	4.4	:	5.0
Germany	2.1	:	2.3	2.8	3.4
Estonia	0.3	:	0.4	0.7	0.8
Ireland	0.1	:	0.1	0.1	0.1
Greece	:	:	0.1	0.1	0.1
Spain	:	:	1.7	:	1.9
France	:	:	1.5	1.9	1.9
Croatia	:	:	0.5	2.0	1.6
Italy	:	:	0.7	:	1.4
Cyprus	:	:	0.1	0.1	0.2
Latvia	0.1	:	0.2	0.3	0.4
Lithuania	0.2	:	0.1	0.3	0.4
Luxembourg	:	:	0.3	:	0.3
Hungary	:	:	1.9	:	3.6
Malta	0.0	n	0.0	n	0.0
Netherlands	:	:	0.7	0.7	0.8
Austria	:	:	1.5	:	1.4
Poland	1.9	:	1.6	1.8	2.1
Portugal	0.4	:	0.3	0.4	0.6
Romania	0.5	:	0.8	1.3	1.7
Slovenia	4.0	:	4.2	2.9	2.0
Slovakia	3.7	:	4.1	4.4	2.3
Finland	:	:	1.3	1.1	1.4
Sweden	:	:	2.5	:	2.7

Source: Eurostat (data as of 29 April 2025).

Looking at individual goods, the following trends emerge from the data for 2022–2024. Figure 47 shows the results of identifying EU economies in which the proportion of RMB-invoiced settlements in goods trade with non-EU economies exceeds the category average. In particular, for items where imports from the PRC have been growing in recent years—such as industrial goods (manufactured products), machinery and transport equipment, and other products—the proportion of RMB-invoiced transactions ranges from high single digits to nearly 10% in some cases.

Figure 47: Share of Renminbi-Denominated Trade in Goods Exports and Imports Between EU Economies and Non-EU Regions (2022–2024)

	Export					
	Beverages and tobacco	Manufactured goods	Chemicals and related products	Manufactured goods classified chiefly by material	Machinery and transport equipment	Miscellaneous manufactured articles
Germany		4-5%	3%		5-7%	
France	4-5%	3%	3%			10%
Italy						
Spain						
Belgium						
Denmark		3%	4-5%			
Sweden						
Finland						
Poland						
Hungary						
Romania						
Slovakia		6-7%			7-9%	
Croatia						
Slovenia						
Malta				10-20%		

	Import					
	Crude materials, inedible, except fuels	Manufactured goods	Chemicals and related products	Manufactured goods classified chiefly by material	Machinery and transport equipment	Miscellaneous manufactured articles
Germany		3-4%	3-4%		5-7%	
France					3-4%	
Italy					2-4%	
Spain					6-7%	
Belgium					4-5%	
Denmark				3%	5-6%	4%
Sweden		4%			6%	3-4%
Finland					2-3%	6-7%
Poland		3%		3-4%		4-5%
Hungary					2-6%	5-7%
Romania	3-5%					2-5%
Slovakia		3-6%		4-5%	4-8%	
Croatia			7-10%		2-6%	
Slovenia		2-5%			9-14%	6-9%
Malta						

Source: Eurostat (data as of 29 April 2025).

Several factors can be considered as the background and drivers of this trend. One is the rapid expansion of rail transport from the PRC to Europe via Central Asia—such as the PRC–Europe Railway Express—which has increased shipments of industrial goods and daily necessities. Since the late 2010s, the number of daily PRC–Europe Railway Express runs has increased, significantly boosting freight capacity. Along with the progress of the Belt and Road Initiative, this has connected the markets of the PRC, Central Asia, and European economies. It is reported that cross-border customs procedures have been simplified, and payments for fees and other charges can now be made using the digital yuan in Chinese areas.

A second factor is the possibility that transactions involving transportation equipment and parts—driven by Chinese companies expanding into Europe and subsequently growing their regional operations—are being conducted in RMB. For example, Hungary is one of the Belt and Road partner economies, and in May 2024, President Xi visited Hungary and held talks with Hungarian Prime Minister Viktor Orbán. During this visit, 18 agreements were reportedly signed covering railway lines, the development of electric vehicle (EV) charging networks, and energy-related cooperation. In addition to the fact that trade between the PRC and Hungary has quadrupled over the past 12 years, direct investment by Chinese companies in Hungary is also progressing, making the PRC Hungary's largest source of foreign direct investment (with over 13 billion euros committed in 2023, approximately double the amount from the previous year).

CATL, a major manufacturer of automotive batteries, announced in August 2022 that it would build a new battery factory for EVs in Debrecen, eastern Hungary (with an investment of 7.34 billion euros), and the factory is scheduled to begin operations in 2026. Furthermore, in December 2023, EV giant BYD announced plans to build its first European EV assembly plant in Szeged, in the southeast of the economy. This marks the company's third investment in Hungary, following the electric bus plant opened in Komárom (northwest) in 2017 and the battery assembly plant announced in June 2023 in Fót (north).

Hungary was the first European country to sign a memorandum of understanding (MOU) on Belt and Road cooperation with the PRC in June 2015. In the financial sphere, a local currency swap agreement (RMB100 billion/HUF375 billion) was concluded in 2013, which was renewed four times through September 2025, with its size expanding to RMB400 billion/HUF1.9 trillion (approximately USD5.5 billion). In 2015, Hungary also became the first country in central and eastern Europe to establish an RMB clearing bank with the opening of the Bank of China's Hungary branch. Furthermore, in 2016, Hungary became the first country in central and eastern Europe to issue Hungarian government bonds in the PRC in the form of RMB-denominated Panda bonds; such issuances have since been conducted repeatedly, including green bonds. In addition, since 2018, the Hungarian forint (HUF) has been added as a trading currency pair against the renminbi on the China Foreign Exchange Trade System (CFETS), enabling direct exchange transactions in that market.

In November 2024, a meeting was held in Beijing between President Xi and Slovak Prime Minister Fico, during which an MOU was agreed upon regarding the commencement of investments by Chinese companies in EV battery plants in Slovakia starting in 2025, the joint planning and implementation of railway and road infrastructure projects, and water resource management projects.

Thus, it is completely plausible that not only Chinese firms' direct investment itself in Europe but also transactions within and beyond Europe related to those firms' manufacturing facilities—whether among Chinese firms or along their supply chains—are already being, or will increasingly be, conducted in RMB.

3.8 United Kingdom/Pound Sterling

In the United Kingdom, as part of the so-called “Brexit” process, 51.9% of voters chose to leave the EU following the results of the June 2016 referendum. Negotiations for the UK's withdrawal from the EU began in June 2017, with the initial target set for March 2019. However, after repeated delays, legislation implementing the UK's withdrawal from the European Union was enacted on 23 January 2020, and the withdrawal procedures were completed. On 29 January, the European Parliament approved the withdrawal agreement, and the UK's departure from the EU was finalized at midnight on 1 February (Belgian time).

Against this complex backdrop, data from 2024 show that, in terms of the UK's global trade, exports were invoiced in US dollars (38%), British pounds (approximately 24%), and euros (14%), and imports in US dollars (39%), British pounds (29%), and euros (21%) (Figure 48).

Next, trade with the EU and with economies and regions outside the EU exhibits different characteristics. In 2024, for exports to the 27 EU member states, the British pound accounted for 27.5% and the euro for 26.5% (totaling 54%); for imports, the British pound accounted for 39% and the euro for 39% (totaling 78%), with the British pound and the euro continuing to dominate.

In contrast, for the UK's trade with non-EU economies and regions (where trends since 2013 can be confirmed in published data), the share of the British pound in UK exports to non-EU economies has declined significantly (from 55% in 2013 to 21% in 2024). Conversely, the share of the US dollar has increased significantly (from 31% to 58% for the same period), reversing the relative usage of the British pound and the US dollar. This trend appears to have continued even after the UK's withdrawal from the EU.

For UK imports from outside the EU, the US dollar remained at around 60% and the British pound at around 20% almost consistently from 2013 to 2024, with no major changes observed.

Since 2014, RMB-invoiced settlements have accounted for approximately 1%–2% of the UK's exports to economies “outside” the EU (however, the RMB is not used for exports from the UK to economies “within” the EU). Furthermore, in terms of imports from economies “outside” the EU, the figures for RMB-invoiced transactions have not reached a level sufficient to be tracked or published accurately. While RMB-invoiced transactions account for 1% of all UK exports, the proportion is higher at 2.2% for machinery and transport equipment. According to data published by the People's Bank of China, the PRC's RMB settlement volume with the UK (including capital transactions) ranks third among economies and regions, following Hong Kong, China and Singapore. This figure has been increasing year by year, in line with UK trade statistics. This assessment is broadly consistent with the fact that, in the UK statistics cited above, the share of RMB invoicing in extra-EU exports stands at 1.8% (2024). At the same time, however, it is also possible that part of this figure is supported by securities transactions settled in renminbi that are intermediated through London.

Figure 48: UK Trade in Goods by Declared Currency of Invoice (2013–2024)

Export to EU												
Currency	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
US dollar									16.4%	19.3%	18.4%	12.6%
Pound sterling									35.7%	33.3%	32.4%	27.5%
Euro									26.5%	25.1%	27.0%	26.5%
Chinese yuan									-	-	-	-
Swedish krone									0.5%	0.5%	0.4%	0.5%
Swiss franc									-	-	-	-
Other currencies									0.6%	0.6%	0.6%	0.5%
No currency declared									19.4%	21.2%	20.3%	32.4%
Total exports (£m)									155,301	197,511	185,707	174,900
Export to non-EU												
Currency	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
US dollar	30.7%	32.0%	33.4%	32.3%	34.8%	39.8%	43.6%	43.0%	46.2%	58.4%	56.5%	58.1%
Pound sterling	54.8%	51.6%	51.5%	51.2%	45.4%	39.2%	37.2%	36.0%	30.4%	25.2%	26.9%	21.4%
Euro	2.4%	2.9%	2.8%	3.0%	3.2%	3.3%	3.7%	4.3%	4.4%	3.9%	4.4%	4.5%
Chinese yuan	-	-	0.4%	-	1.7%	1.8%	1.6%	2.0%	1.9%	1.5%	1.6%	1.8%
Japanese Yen	0.3%	0.4%	-	0.6%	-	-	-	-	-	-	-	-
Swedish krone	-	-	-	-	-	-	-	-	-	-	-	-
Swiss franc	-	-	-	-	-	-	-	-	2.1%	-	-	-
Other currencies	2.0%	2.8%	2.6%	2.9%	4.3%	5.1%	4.2%	4.5%	5.5%	4.0%	3.8%	3.8%
No currency declared	9.7%	10.3%	9.2%	10.1%	10.6%	10.7%	9.6%	10.2%	11.4%	6.1%	6.9%	10.5%
Total exports (£m)	199,609	163,579	171,243	159,451	179,133	192,847	197,076	162,070	185,009	233,679	233,276	226,308
Export Total												
Currency	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
US dollar									32.7%	40.9%	39.7%	38.3%
Pound sterling									33.0%	29.1%	29.6%	24%
Euro									14.7%	13.6%	14.4%	14.1%
Chinese yuan									-	0.8%	0.9%	1%
Swedish krone									-	-	-	-
Swiss franc									1.2%	-	-	-
Other currencies									3.5%	2.6%	2.6%	2.6%
No currency declared									15.0%	13.0%	12.8%	20.0%
Total exports (£m)									340,309	431,190	418,983	401,208
Import from EU												
Currency	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
US dollar										14.1%	13.1%	13.3%
Pound sterling										36.8%	35.8%	38.9%
Euro										36.9%	34.3%	39.2%
Canadian dollar										-	-	-
Polish zloty										0.4%	0.4%	0.4%
Other currencies										0.6%	0.6%	0.6%
No currency declared										11.2%	15.8%	7.5%
Total trade (£m)										313,645	325,964	318,239
Import from non-EU												
Currency	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
US dollar	62.1%	62.1%	61.4%	64.0%	62.5%	61.8%	66.3%	68.1%	61.3%	56.5%	58.2%	63.5%
Pound sterling	22.3%	22.2%	23.0%	19.9%	20.0%	20.6%	17.6%	17.6%	21.0%	20.0%	18.2%	19.3%
Euro	5.2%	5.6%	5.4%	4.5%	4.8%	5.1%	4.3%	4.1%	4.7%	3.9%	4.3%	4.1%
Canadian dollar	2.3%	1.7%	2.1%	2.8%	3.1%	2.5%	2.6%	2.8%	2.2%	2.1%	1.5%	2.0%
Chinese Yuan	-	-	-	-	-	-	-	-	-	-	-	-
Japanese Yen	-	-	-	-	-	-	-	-	-	-	-	-
Polish zloty	-	-	-	-	-	-	-	-	-	-	-	-
Other currencies	3.6%	3.1%	3.0%	3.8%	3.6%	3.0%	4.5%	3.4%	3%	2.6%	2.8%	2.9%
No currency declared	4.4%	5.2%	5.0%	5.0%	5.9%	7.0%	4.7%	3.9%	8%	14.9%	15.0%	8.1%
Total trade (£m)	200,907	199,115	192,074	231,502	238,539	237,305	275,643	264,292	282,153	353,189	310,737	319,767
Import Total												
Currency	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
US dollar										36.5%	35.1%	38.5%
Pound sterling										27.9%	27.2%	29.1%
Euro										19.4%	19.7%	21.6%
Canadian dollar										1.1%	0.7%	1%
Polish zloty										-	-	-
Other currencies										1.8%	1.9%	2%
No currency declared										13.2%	15.4%	7.8%
Total trade (£m)										666,834	636,701	638,005

Source: UK HM Revenue and Customs. UK trade in goods by declared currency of invoice.

3.9 Brazilian Real

The so-called “BRICS economies” advocate promoting their own currencies in trade and international transactions; however, among the member economies (excluding the PRC and Indonesia), Brazil is the only one that publishes data on transactions invoiced in its own currency or in RMB (Figures 49–51).²¹

In Brazil’s export transactions, US dollar-invoiced deals account for 96% (2023 data, Figure 52). While Brazilian real-invoiced transactions rose to about 3% in the mid-2010s, they currently stand at around 1.3%.

In contrast, for imports, the share of transactions invoiced in US dollars has gradually decreased to about 80%. Transactions invoiced in euros account for about 10%, and those in Brazilian reals have risen to 7.2%. Additionally, although the change is small, transactions invoiced in RMB have risen to about 0.4% of imports.

Figure 49: Brazil Exports by Currency (1997–2023)

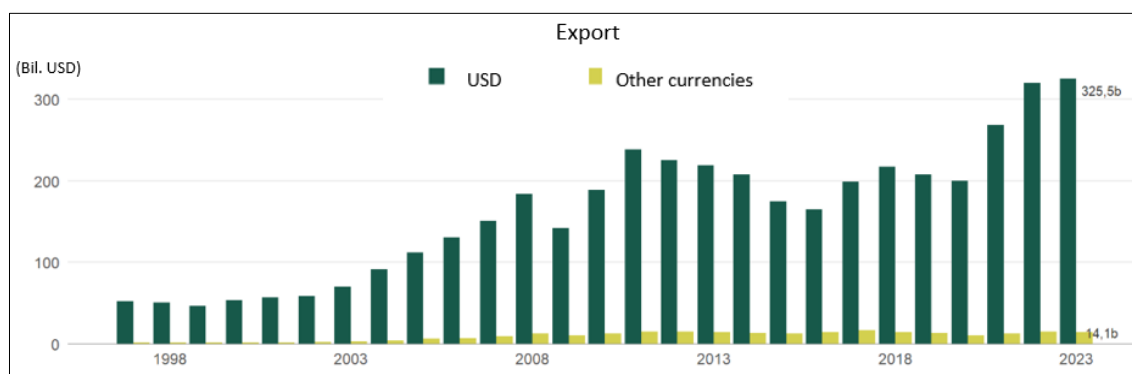
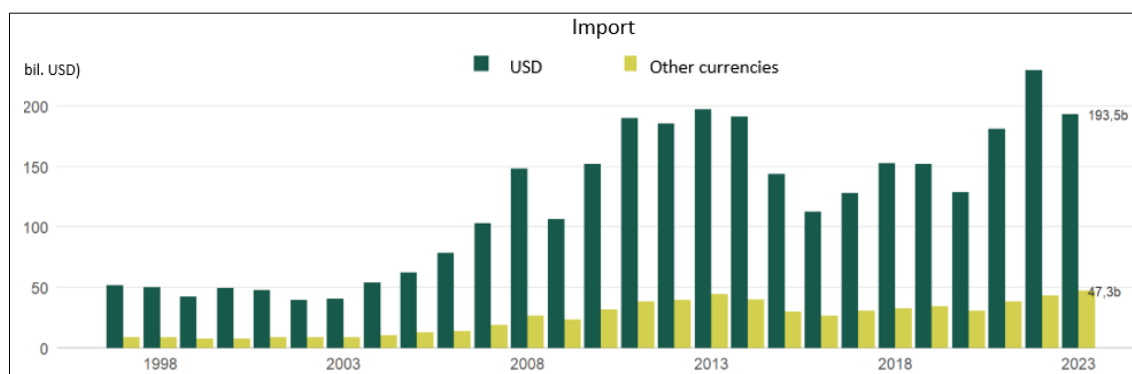


Figure 50: Brazil Imports by Currency (1997–2023)

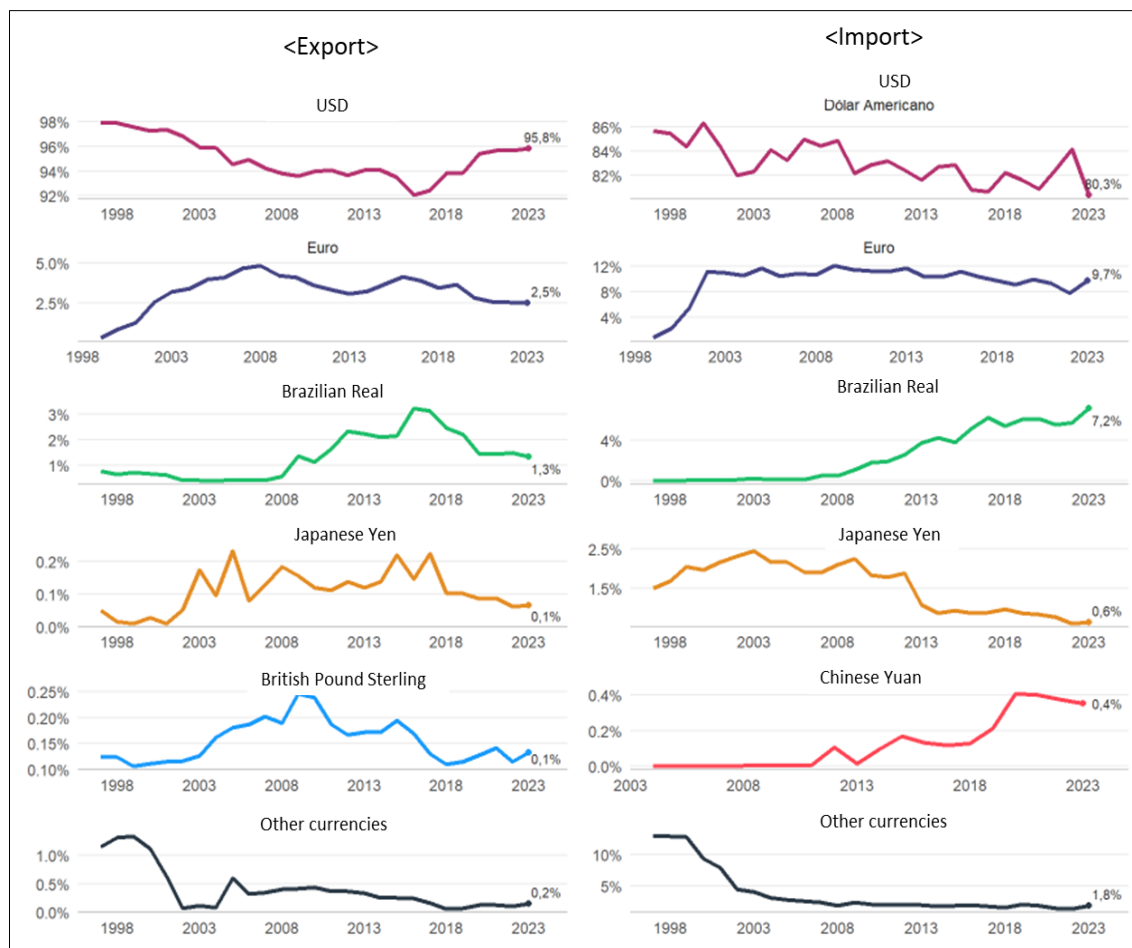


²¹ See Secretariat of Foreign Trade, Brazilian Ministry of Economy, “Export and Import by Declared Currency/Trade by Invoicing Currency” (July 2025). Unless otherwise noted, figures are taken from this source; figures prepared by the author are based on published data, and the Ministry’s original figures are used, replaced by English labels where necessary.

Figure 51: Totals Traded by Major Currencies

Values in US dollar billion (FOB)												
Exports							Imports					
	USD	Euro	Brazilian Real	Pound Sterling	Japanese Yen	Other Currencies	USD	Euro	Brazilian Real	Japanese Yen	Chinese yuan	Other Currencies
2023	325.55	8.42	4.54	0.45	0.22	0.51	193.45	23.31	17.28	1.53	0.85	4.38
2022	319.67	8.49	5.00	0.39	0.21	0.38	229.39	21.33	15.55	1.64	1.02	3.68
2021	268.62	7.15	4.03	0.40	0.25	0.36	180.99	20.43	12.17	1.68	0.88	3.25
2020	199.55	5.89	3.00	0.27	0.18	0.28	128.40	15.68	9.75	1.31	0.65	2.99
2019	207.57	8.05	4.86	0.25	0.22	0.17	151.74	16.97	11.30	1.61	0.39	3.91

Source: Secretariat of Foreign Trade, SECEX, Brazil. Export and Import by Declared Currency.

Figure 52: Share of Major Currencies by Trade Flow

Source: Secretariat of Foreign Trade, SECEX, Brazil. Export and Import by Declared Currency.

While these Brazilian real-invoiced transactions are primarily used for imports of industrial products, they are also employed to some extent for imports of agricultural products and resources. While the RMB is also primarily used for industrial product imports, data from 2023 and 2024 show that RMB-invoiced transactions are also utilized in Brazil's imports from Southeast Asian economies (Thailand, Indonesia, Malaysia, and the Philippines), as well as from the United States; Japan; the Republic

of Korea; Taipei, China; and the Russian Federation, as evidenced by individual import transaction data (Figure 53).

Figure 53: Renminbi Usage for Brazilian Imports (2023 and 2024)

Flow	Year	Currency	Economy	ISIC Section	FOB Value (Million)
imp	2023	Renminbi Chinês	PRC	Agropecuária	0.5
imp	2023	Renminbi Chinês	PRC	Indústria De Transformação	814.6
imp	2023	Renminbi Chinês	PRC	Outros Produtos	0.5
imp	2023	Renminbi Chinês	Demais países	Indústria De Transformação	1.1
imp	2023	Renminbi Chinês	United States	Indústria De Transformação	1.3
imp	2023	Renminbi Chinês	Filipinas	Indústria De Transformação	0.1
imp	2023	Renminbi Chinês	Hong Kong, China	Indústria De Transformação	1.7
imp	2023	Renminbi Chinês	Indonesia	Indústria De Transformação	0.3
imp	2023	Renminbi Chinês	Japan	Indústria De Transformação	1.1
imp	2023	Renminbi Chinês	Malaysia	Indústria De Transformação	0.1
imp	2023	Renminbi Chinês	Russian Federation	Indústria De Transformação	24.2
imp	2023	Renminbi Chinês	Thailand	Indústria De Transformação	0.2
imp	2023	Renminbi Chinês	Taipei, China	Indústria De Transformação	1.3
imp	2023	Renminbi Chinês	União Europeia - UE	Indústria De Transformação	1.1
2023 remminbi total					848.1
imp	2024	Renminbi Chinês	Canada	Indústria De Transformação	0.3
imp	2024	Renminbi Chinês	PRC	Agropecuária	0.6
imp	2024	Renminbi Chinês	PRC	Indústria De Transformação	1704.4
imp	2024	Renminbi Chinês	PRC	Outros Produtos	3.2
imp	2024	Renminbi Chinês	Republic of Korea	Indústria De Transformação	0.1
imp	2024	Renminbi Chinês	Demais países	Indústria De Transformação	0.2
imp	2024	Renminbi Chinês	United Arab Emirates	Indústria De Transformação	1.1
imp	2024	Renminbi Chinês	United States	Indústria De Transformação	12.9
imp	2024	Renminbi Chinês	Hong Kong, China	Indústria De Transformação	6.3
imp	2024	Renminbi Chinês	Indonesia	Indústria De Transformação	0.1
imp	2024	Renminbi Chinês	Japan	Indústria De Transformação	0.1
imp	2024	Renminbi Chinês	Russian Federation	Indústria De Transformação	58.1
imp	2024	Renminbi Chinês	Singapore	Indústria De Transformação	0.5
imp	2024	Renminbi Chinês	Switzerland	Indústria De Transformação	2.4
imp	2024	Renminbi Chinês	Thailand	Indústria De Transformação	0.1
imp	2024	Renminbi Chinês	Taipei, China	Indústria De Transformação	1.3
imp	2024	Renminbi Chinês	União Europeia - UE	Indústria De Transformação	7.9
2024 remminbi total					1799.6

Source: Secretariat of Foreign Trade, SECEX, Brazil. Export and Import by Declared Currency.

This indicates that the RMB is being used even in transactions in which the PRC is not directly involved (so-called “external–external” transactions). At the same time, it suggests that the potential for the physical use of the RMB is growing as Chinese companies²² expand overseas through direct investment and participate in global supply chains.

In July 2025, on the eve of the BRICS Summit held in Rio de Janeiro, Brazilian President Lula met with the PRC’s Premier Li Qiang. Premier Li expressed his hope that, under the framework of high-quality joint construction of the Belt and Road Initiative, the two economies would strengthen and deepen cooperation in bilateral trade, finance, and infrastructure construction under the framework of high-quality Belt and Road cooperation, and expand cooperation in fields such as the digital economy, green economy, scientific and technological innovation, and space, thereby increasing

²² Chinese companies such as the Bank of China, Great Wall Motor, State Grid, Goldwind, COFCO Group, Gree Electric, Dahua Technology, and Zhongtian Technology have expanded into Brazil (Xinhua News Agency, 8 July 2025).

the momentum for the development of both nations. It has been reported that President Lula responded by expressing his intention to promote exchanges and cooperation in fields such as the economy, trade, science and technology, finance, and space, and to strengthen cooperation on issues such as the response to climate change.

Additionally, it was reported that at the same time, People's Bank of China Governor Fan and Brazilian Central Bank Governor Galipoli held discussions on bilateral financial cooperation between the two economies, including the continuation of the RMB–Brazilian real local currency swap arrangement and the development of cross-border transactions invoiced in their respective currencies, as well as the implementation of joint projects through the PRC–Brazil Fund.²³

4. CONCLUSION

This paper summarizes the current usage and notable changes in currencies other than the US dollar by scrutinizing data on the share of currencies used in trade settlements published by central banks and other institutions. The status of each currency is as follows:

RMB

- In the PRC, RMB settlement transactions are increasing, with a slightly larger increase observed in import payments.
- Looking at data from other economies, such as those in the EU, there is a possibility that RMB-invoiced transactions are occurring in some third-country trade, particularly in eastern European economies (especially those along the Belt and Road route).

Thai baht

- In Thailand, the share of baht-settled transactions has increased to 15%–16% for exports and around 8% for imports.
- In trade with ASEAN economies, the baht is widely used, accounting for over 20% of exports and more than 10% of imports.

Indonesian rupiah

- In Indonesia, the proportion of imports invoiced in RMB has increased to 8.8%.
- For oil and gas imports, transactions with the PRC have almost entirely shifted to RMB.

Malaysian ringgit

- In Malaysia's trade, the share settled in ringgit rose to 3.6%, while that settled in RMB increased to 2.9%.
- In trade with the PRC, transactions settled in RMB or ringgit account for 24.4%.

²³ People's Bank of China website (8 July 2025) "Governor Pan Gongsheng Meets with Galipoli, Governor of the Central Bank of Brazil, as PRC–Brazil Financial Strategic Cooperation Makes Positive Progress."

Australian dollar

- For Australian exports, 88.9% are invoiced in US dollars and 8.8% in Australian dollars.
- The Australian dollar accounts for a high proportion of sales of specific items, such as beverages and medical products.

NT dollar

- In Taipei, China, the US dollar dominates both exports and imports; the RMB accounts for 1.4% of exports and 1.5% of imports, and the NT dollar is not yet widely used.

Euro

- In trade with economies outside the EU, 51.7% of exports and 39.7% of imports are invoiced in euros.
- US dollar-invoiced transactions account for 31.4% of exports and 51.1% of imports.

British pound

- In the UK's trade with non-EU economies, 58% of exports are invoiced in US dollars and 21% in pounds. For imports, US dollar-invoiced transactions remain stable at around 60%.
- The share of pounds in UK exports to non-EU economies has declined significantly (from 55% in 2013 to 21% in 2024), while its share in imports has remained largely unchanged at around 20%.

Brazilian real

- For Brazilian exports, 96% are invoiced in US dollars and 1.3% in Brazilian reals.
- For imports, the share invoiced in Brazilian reals stands at 7.2%, while that invoiced in RMB has increased to 0.4%. RMB is also used for Brazil's imports from third economies other than the PRC.

ASEAN currencies

- Within the ASEAN region, transactions invoiced in local currencies are increasing, with the Thai baht being particularly widely used.

Based on the above data, it has been confirmed that the use of currencies other than the US dollar has been increasing in recent years due to regional economic blocs and policy initiatives. With regard to the RMB in particular, under the PRC government's RMB internationalization policy launched in 2009, its use in trade and capital transactions has been promoted; initially limited to import payments, it has since expanded to include export transactions, trade in services, direct investment, and securities investment. RMB-invoiced trade transactions were initially centered on trade between the PRC and Hong Kong, China, but usage has increased, particularly for import payments. RMB-invoiced and settlement transactions are expanding not only in Asian economies such as Japan, the Republic of Korea, and ASEAN nations, but also in Australia, Brazil, and European economies. It has become evident that the use of the renminbi has increased markedly in the EU for import transactions of specific goods. This expansion in the use of the RMB is largely influenced by the People's Bank of China's establishment of local currency swap agreements and clearing banks, as well

as the construction of the Cross-border Interbank Payment System (CIPS) to streamline settlements—a trend that is consistent with previous research. Furthermore, the growing popularity of third-party payment services such as Alipay and WeChat Pay, driven by the increase in the number of Chinese tourists, is also considered a contributing factor.

The RMB is still not a fully free international settlement currency. Previous IMF studies using SWIFT data indicate that the US dollar continues to play a dominant role in international settlements, and the RMB's share as an international settlement currency remains limited. However, data published by individual economies firmly confirm that transactions in RMB and other currencies are gradually increasing outside the United States. The following seven factors are cited as reasons for the increase in transactions in currencies other than the US dollar.

1. Economic factors

- Hedging against exchange rate risk: mitigating the impact of exchange rate fluctuations against the US dollar on the domestic economy
- Reduction of trade costs: reducing foreign exchange fees and spreads by conducting transactions in the domestic currency
- Avoiding economic sanctions: avoiding the risk of sanctions associated with US dollar settlements

2. Policy factors

- Policies to promote transactions invoiced in local currencies: policies encouraging intraregional trade and investment using local currencies are being promoted, particularly among ASEAN economies
- Currency swap agreements: securing local currency liquidity through bilateral currency swap agreements
- Establishment of clearing banks: development of financial infrastructure to support local currency settlements

3. Regional factors

- Expansion of regional economic blocs: increased use of local currencies within regions such as ASEAN and BRICS
- Creation of direct exchange markets: development of local currency trading markets that do not rely on the US dollar

4. Geopolitical factors

- US–PRC tensions: US tariff policies and economic sanctions are driving efforts to reduce dependence on the dollar.
- Rise of emerging economies: Economies in the Global South are promoting the use of their own currencies.

5. Technological factors

- The spread of digital payments: Third-party payment services such as Alipay and WeChat Pay are driving the use of local currencies.
- Introduction of digital currencies: consideration of Central Bank Digital Currencies (CBDCs)

(In addition, the movement of people constitutes a factor specific to the Asian region.)

6. Development of financial infrastructure

- Cross-border payment systems: Systems such as CIPS support the use of nondollar currencies like the RMB.
- Formation of multicurrency trading markets: expansion of multicurrency trading markets, including currencies of emerging economies in the Global South, such as the BRICS Cross-Border Payment Initiative (BCBPI)

7. Changes in trade structure

- Expansion of the PRC's trade: Trade between the PRC and other economies is increasing, leading to expanded use of the RMB.
- Changes in resource transactions: increased use of the RMB and local currencies in resource imports

Before World War I, the international monetary system was based on the classical gold standard, under which exchange rates were effectively fixed. The British pound served as a *de facto* reserve currency; however, its position weakened following the destabilization of the gold standard during World War I and the Great Depression. Under the Bretton Woods system (1944), the US dollar became the core currency by being pegged to gold (1 ounce = 35 dollars). Although gold convertibility ended in 1971, the dollar retained its dominance in international payments, foreign exchange reserves, and financial transactions; even in the post-1995 multipolarization phase following the establishment of the WTO, the monetary order can be characterized as one in which partial diversification proceeded on the premise of dollar dominance.

Since the late 2010s, amid changes in the political and security environment surrounding US–PRC relations, currency choice has gradually shifted in East and Southeast Asia. While the US dollar remains dominant in invoicing and settlement, and transactional inertia persists, emerging economies have strengthened policies to expand local currency transactions denominated in their own currencies, or in those of their counterparties, with the aim of mitigating spillovers from dollar exchange rate fluctuations and reducing transaction costs and sanctions-related risks. At the same time, “dedollarization” has not progressed linearly; rather, it is observed as a multidirectional change—including, in some economies, “redollarization” phases.

Although the renminbi remains subject to various controls, its use in trade has expanded since the mid-2010s alongside improvements in transaction and settlement infrastructure, spreading from imports to exports and services trade and further to capital account transactions such as foreign direct investment and portfolio investment. Further expansion of cross-border use requires not only institutional changes on the PRC's side but also regulatory easing in partner economies, interauthority cooperation, and arrangements that enable a “supply–recovery–circulation” mechanism through offshore markets and settlement functions. Nevertheless, international use remains limited: According to the “Dollar Dominance Monitor” (as of March 2026), the US dollar accounts for 54% of export invoicing, 89% of foreign exchange trading (on a 200% gross basis), and 57% of foreign reserves, whereas the renminbi accounts for 4%, 9%, and 2%, respectively. In terms of monetary function, the renminbi has expanded as a unit of account and means of payment, while it has lagged as a store of value (foreign reserves); renminbi-denominated reserves have been on a declining trend since peaking around 2021.

In this paper, we identify the following three factors: (1) underdevelopment of the PRC's financial sector and remaining controls on renminbi and capital account transactions; (2) concerns regarding the credibility of monetary policy and information disclosure, the PRC's macroeconomic outlook, and fiscal and financial management, and uncertainty in the real estate sector; and (3) perceived risks of sanctions and asset freezes associated with renminbi assets. As for regional cases, Thailand has increased baht-denominated trade and settlement with neighboring ASEAN economies through, *inter alia*, regulatory easing, and Thailand, Malaysia, and Indonesia have introduced the Local Currency Settlement Framework (LCSF). Indonesia has also relaxed constraints on the use of the rupiah and, in cooperation with the PRC, expanded bilateral local currency transactions in 2025 to cover all transactions, including the capital account, while also extending cooperation to QR code instant payments. These cases suggest that even in emerging economies where regulations remain, renminbi and local currency transactions can expand to some extent when appropriate financial infrastructure and policy coordination are in place (see Shimizu and Tomizawa (2026) for an empirical analysis). However, in multilateral initiatives such as BRICS and the Shanghai Cooperation Organization (SCO), the expansion and diversification of participants are likely to raise coordination costs and lengthen the time required.

Overall, this study indicates that renminbi internationalization has expanded in a complementary manner under a dollar-based system and is shaped more by institutional and relational factors than by trade alone. The PRC's experience cannot necessarily be generalized directly to developing economies, and avoiding the "middle-income trap" requires orderly liberalization of exchange and capital controls during the growth phase, stable macroeconomic management, and financial market development. As geopolitical fragmentation deepens, firms are increasingly compelled to secure transaction routes while factoring in financial sanctions and asset freezes, and expanding settlement in one's own currency may serve as a defensive strategy to reduce risk. Even advanced economies with limited scope for deregulation, such as Japan, may promote local currency-denominated trade and investment by deepening domestic financial markets, enhancing their attractiveness, and strengthening cooperation with emerging economies, while considering currency digitalization and changes in cross-border payments (including the introduction of CBDCs and the spread of dollar-denominated stablecoins). Against the backdrop of rising geopolitical risk and accelerating regional fragmentation, the trajectory of the dollar-based monetary order warrants close and sustained scrutiny.

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APPENDIX 1

Economy		2012	2020	2021	2022	2023	2024
Brunei Darussalam	Exports	3%	18%	20%	14%	17%	18%
	Imports	11%	11%	7%	7%	10%	9%
Cambodia	Exports	2%	5%	8%	5%	6%	7%
	Imports	31%	36%	33%	33%	44%	47%
Indonesia	Exports	11%	19%	23%	23%	25%	24%
	Imports	15%	28%	29%	29%	28%	31%
Lao People's Democratic Republic	Exports	29%	29%	39%	38%	39%	39%
	Imports	21%	26%	25%	26%	26%	25%
Malaysia	Exports	13%	16%	15%	14%	13%	12%
	Imports	15%	22%	23%	21%	21%	22%
Myanmar	Exports	15%	33%	30%	22%	23%	23%
	Imports	32%	37%	29%	32%	31%	34%
Philippines	Exports	12%	15%	15%	14%	15%	13%
	Imports	11%	23%	23%	20%	23%	26%
Thailand	Exports	12%	13%	14%	12%	12%	12%
	Imports	15%	24%	25%	24%	25%	26%
Viet Nam	Exports	11%	18%	17%	16%	18%	16%
	Imports	26%	33%	34%	34%	35%	39%
Japan	Exports	18%	22%	22%	19%	18%	18%
	Imports	21%	26%	24%	21%	22%	23%
Korea, Republic of	Exports	25%	26%	25%	23%	20%	19%
	Imports	16%	23%	23%	21%	22%	22%
Mongolia	Exports	90%	72%	83%	81%	87%	87%
	Imports	21%	36%	36%	26%	40%	32%
Brazil	Exports	17%	32%	31%	27%	31%	28%
	Imports	15%	21%	22%	22%	22%	24%
India	Exports	5%	7%	6%	3%	4%	3%
	Imports	11%	16%	15%	14%	15%	15%
Russian Federation	Exports	7%	15%	14%	16%	24%	25%
	Imports	16%	24%	25%	34%	45%	46%
South Africa	Exports	10%	12%	11%	9%	11%	11%
	Imports	14%	21%	21%	20%	21%	22%
Middle East	Exports	10%	13%	14%	14%	14%	14%
	Imports	12%	18%	18%	19%	20%	20%
Iran, Islamic Republic of	Exports	28%	46%	37%	34%	29%	28%
	Imports	13%	25%	24%	26%	30%	25%
CIS	Exports	8%	14%	13%	15%	20%	21%
	Imports	14%	20%	20%	25%	31%	33%
Kazakhstan, Republic of	Exports	18%	16%	13%	14%	19%	21%
	Imports	17%	9%	9%	12%	29%	37%
European Union (EU)	Exports	3%	4%	4%	3%	3%	3%
	Imports	6%	9%	9%	9%	8%	8%
France	Exports	3%	4%	5%	4%	4%	4%
	Imports	5%	7%	7%	6%	6%	6%

continued on next page

Appendix 1 *table continued*

Economy		2012	2020	2021	2022	2023	2024
Germany	Exports	6%	8%	8%	7%	6%	6%
	Imports	7%	8%	8%	9%	7%	7%
Italy	Exports	2%	3%	3%	3%	3%	3%
	Imports	7%	9%	8%	9%	8%	9%
Hungary	Exports	2%	1%	1%	1%	1%	1%
	Imports	7%	9%	8%	8%	8%	8%
United Kingdom	Exports	3%	6%	6%	7%	5%	5%
	Imports	8%	13%	13%	11%	10%	10%
Africa	Exports	12%	13%	13%	12%	12%	12%
	Imports	13%	18%	17%	17%	17%	18%
United States	Exports	7%	9%	9%	7%	7%	7%
	Imports	19%	19%	18%	17%	14%	13%
Canada	Exports	4%	5%	5%	4%	4%	4%
	Imports	11%	14%	14%	14%	12%	12%
Latin America and the Caribbean (LAC)	Exports	9%	14%	14%	13%	14%	13%
	Imports	15%	20%	21%	21%	20%	21%
Australia	Exports	30%	40%	38%	29%	36%	35%
	Imports	18%	29%	28%	27%	25%	26%